ACC501
Mid term
2023

Solved by

Iqra Azhar

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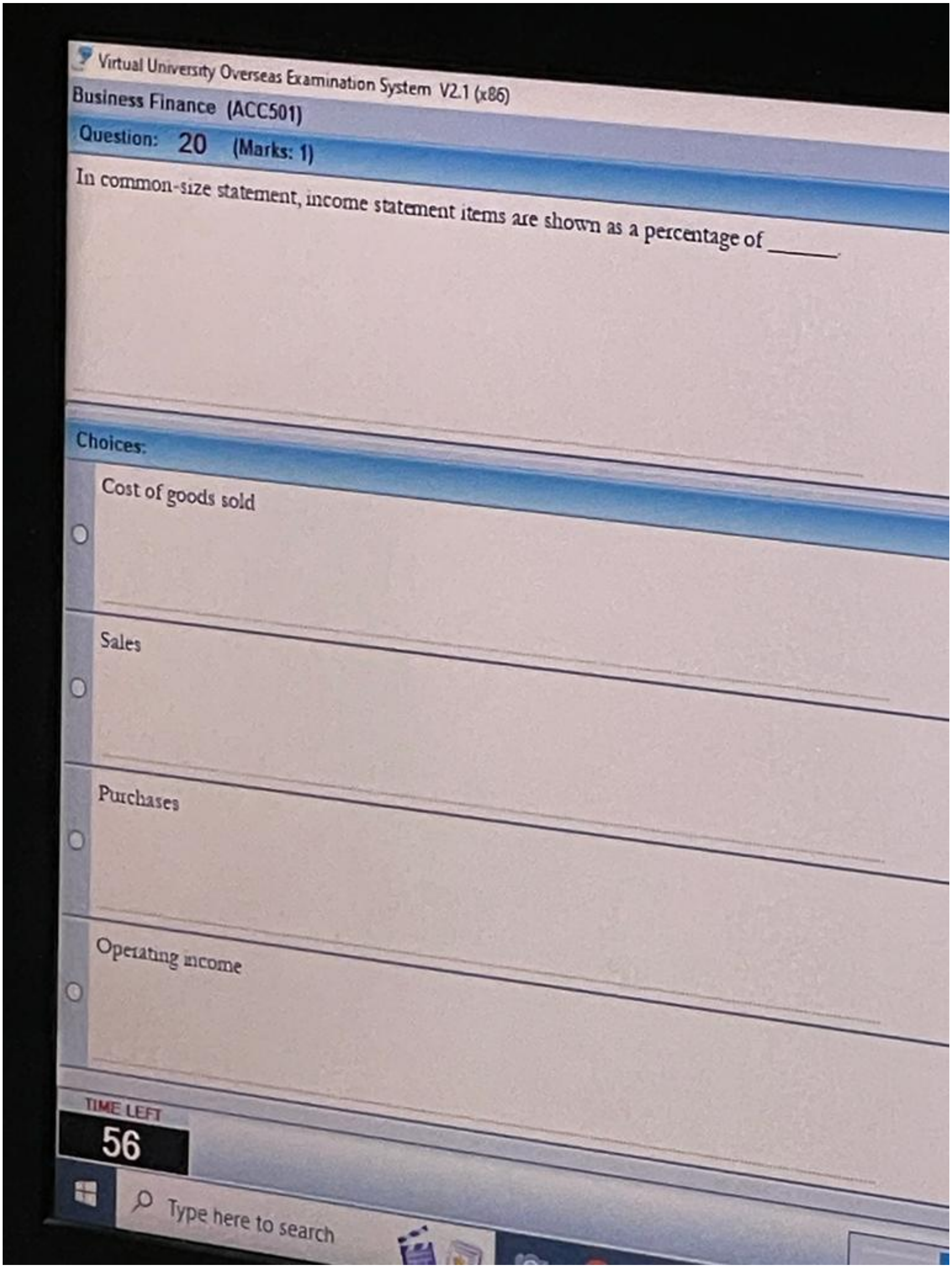

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Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 21 (Marks: 1)

How much Mr. Ali must be deposited at 10% rate of interest at the end of each of the next 6 years to have Rs. 400,000 today? **Ordinary annuity factor: PVIFA is 4.355 and FVIFA is 7.7156**

Choices:

- Rs. 109,577
- Rs. 91,848
- Rs. 49,558
- Rs. 44,249

TIME LEFT

56

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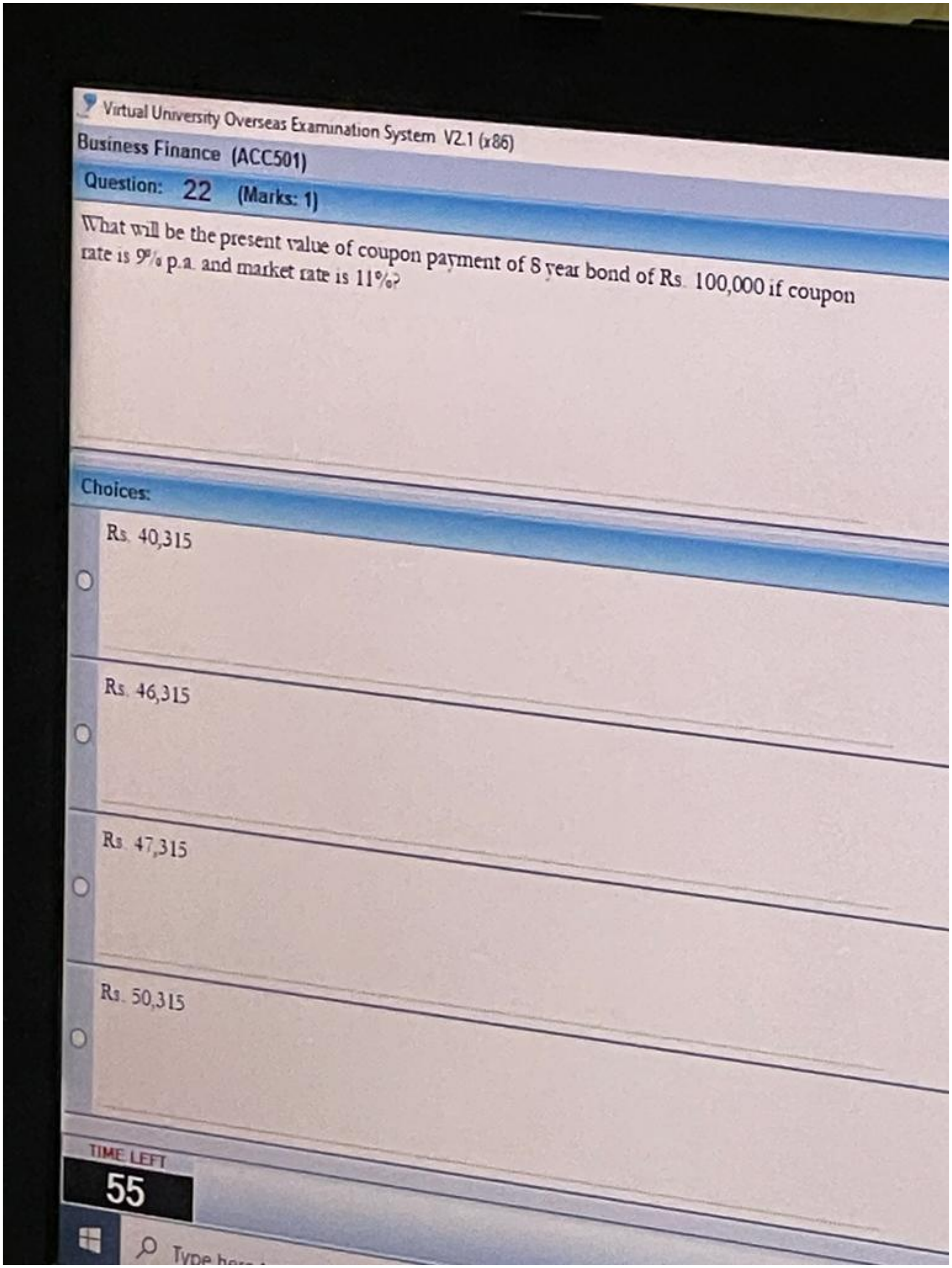

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 22 (Marks: 1)

What will be the present value of coupon payment of 8 year bond of Rs. 100,000 if coupon rate is 9% p.a. and market rate is 11%?

Choices:

- Rs. 40,315
- Rs. 46,315
- Rs. 47,315
- Rs. 50,315

TIME LEFT

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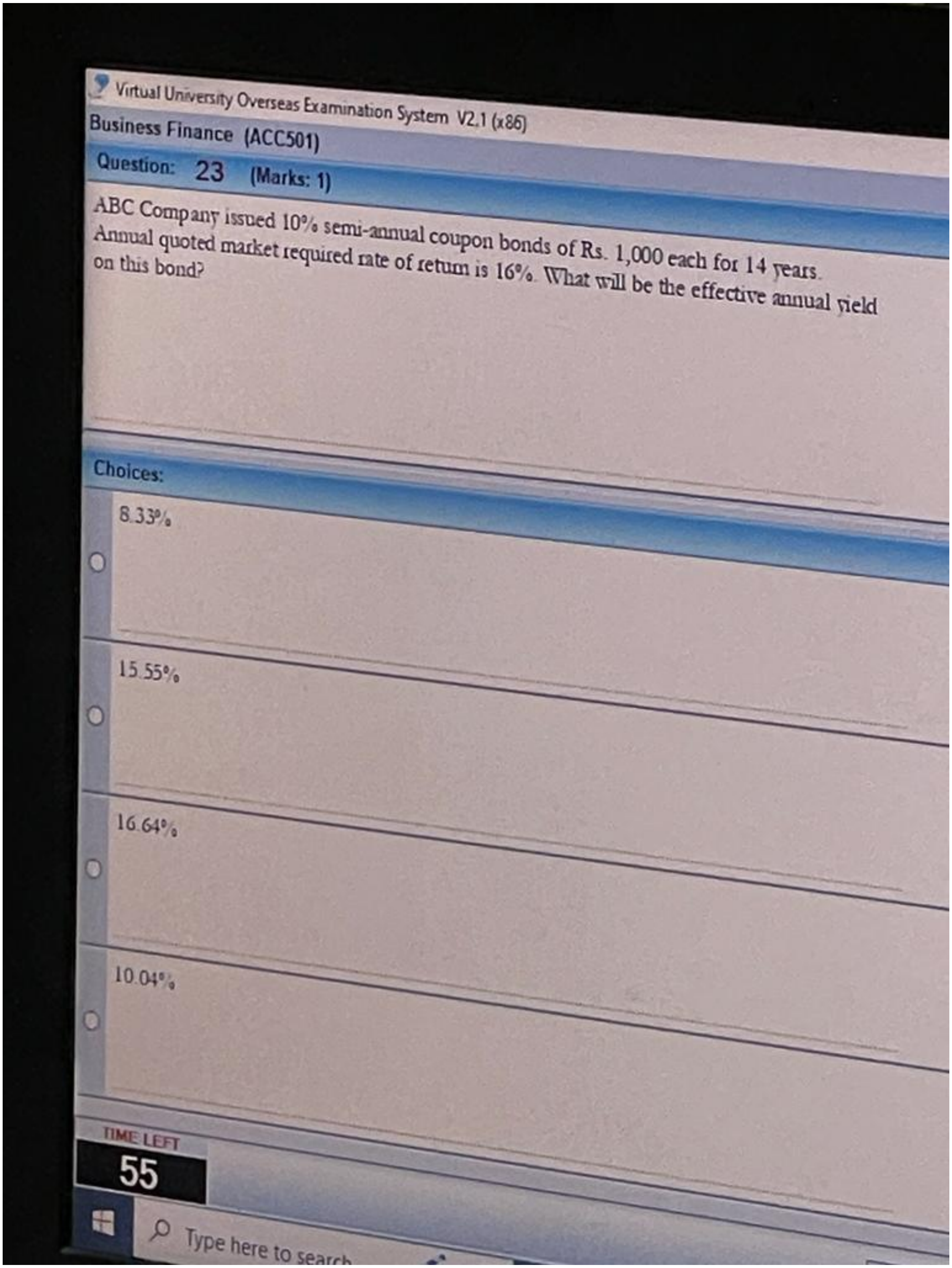
Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 23 (Marks: 1)

ABC Company issued 10% semi-annual coupon bonds of Rs. 1,000 each for 14 years. Annual quoted market required rate of return is 16%. What will be the effective annual yield on this bond?

Choices:

- 8.33%
- 15.55%
- 16.64%
- 10.04%

TIME LEFT

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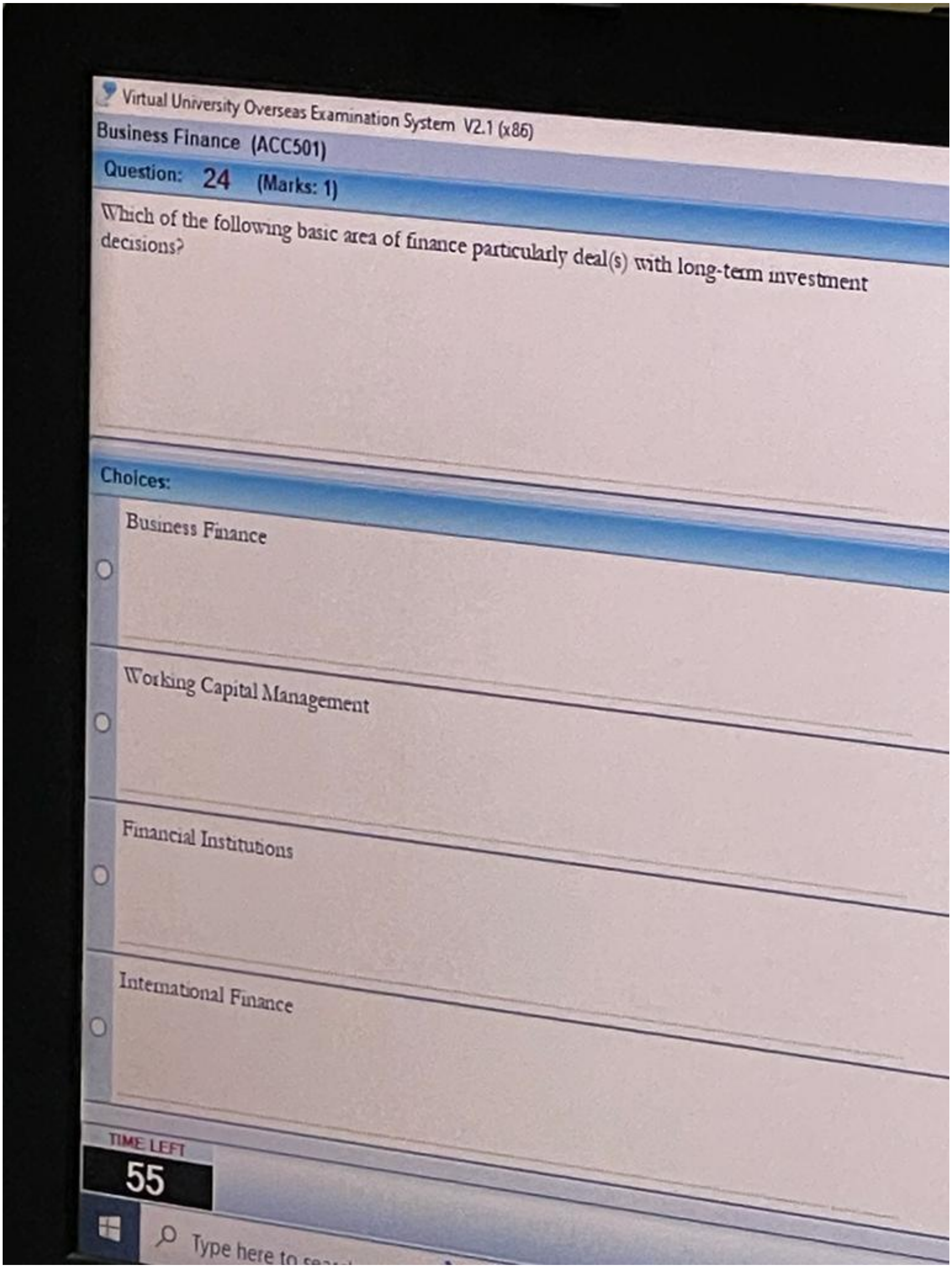

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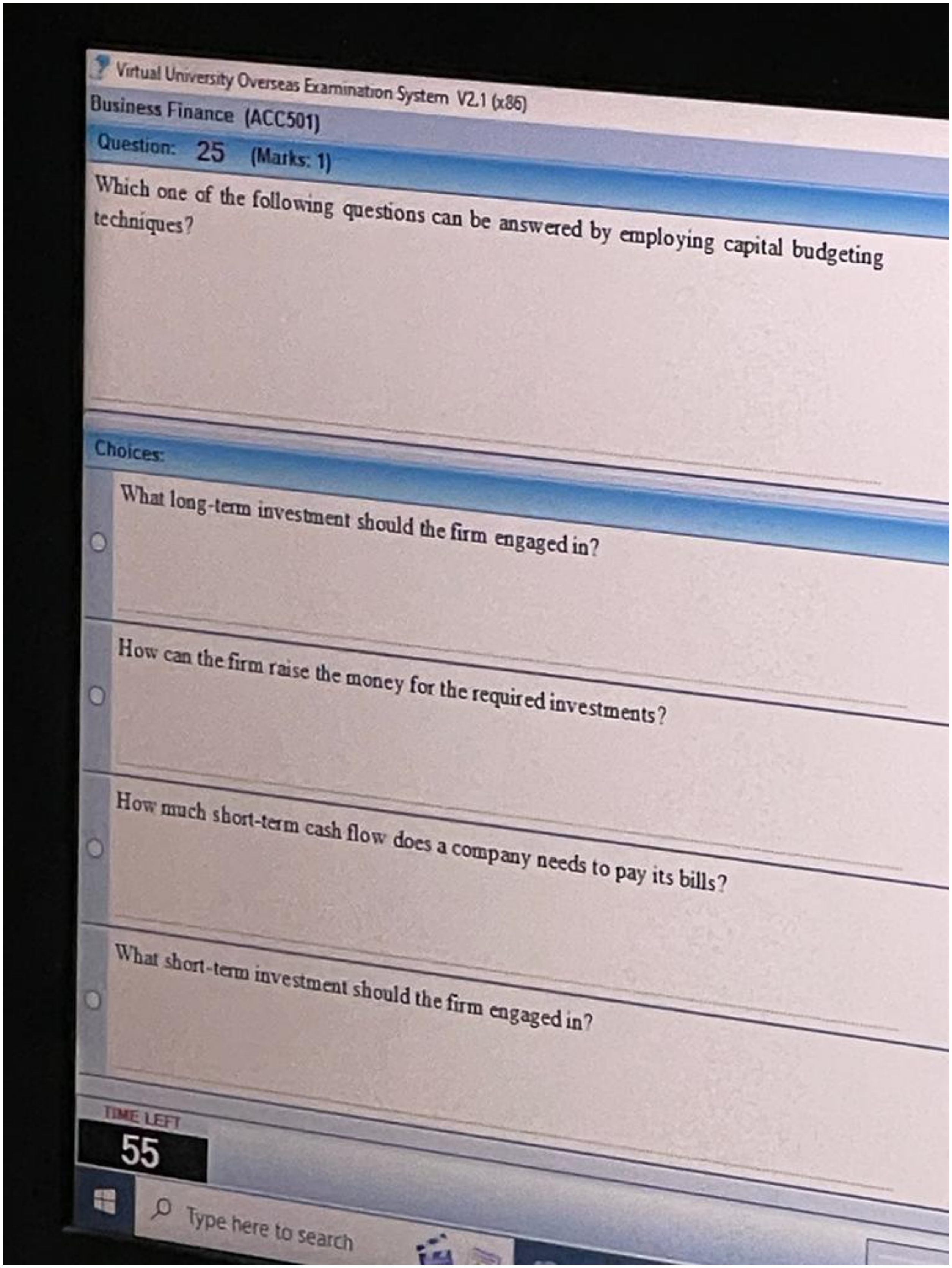

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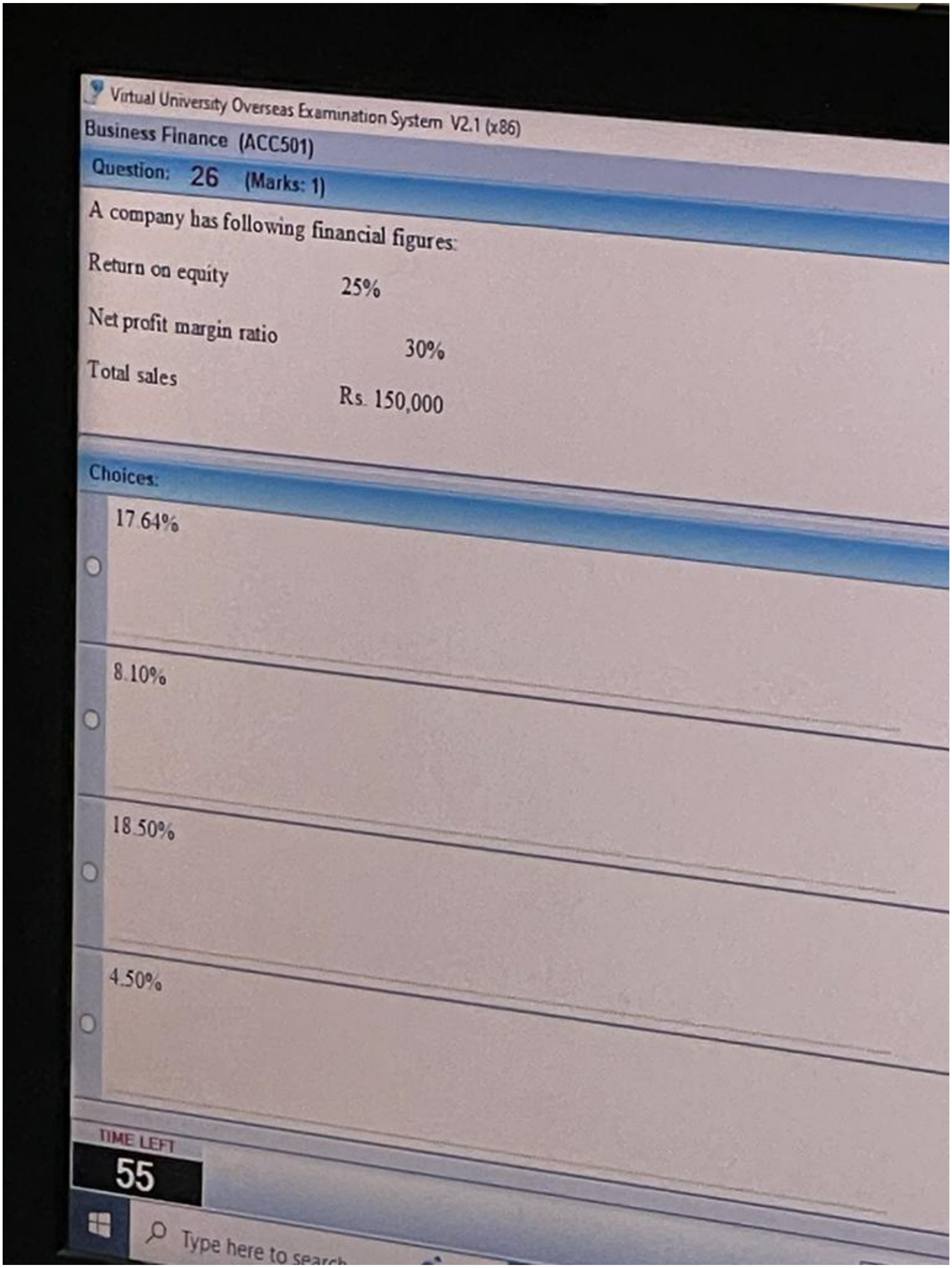

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 26 (Marks: 1)

A company has following financial figures:

Return on equity	25%
Net profit margin ratio	30%
Total sales	Rs. 150,000

Choices:

- 17.64%
- 8.10%
- 18.50%
- 4.50%

TIME LEFT

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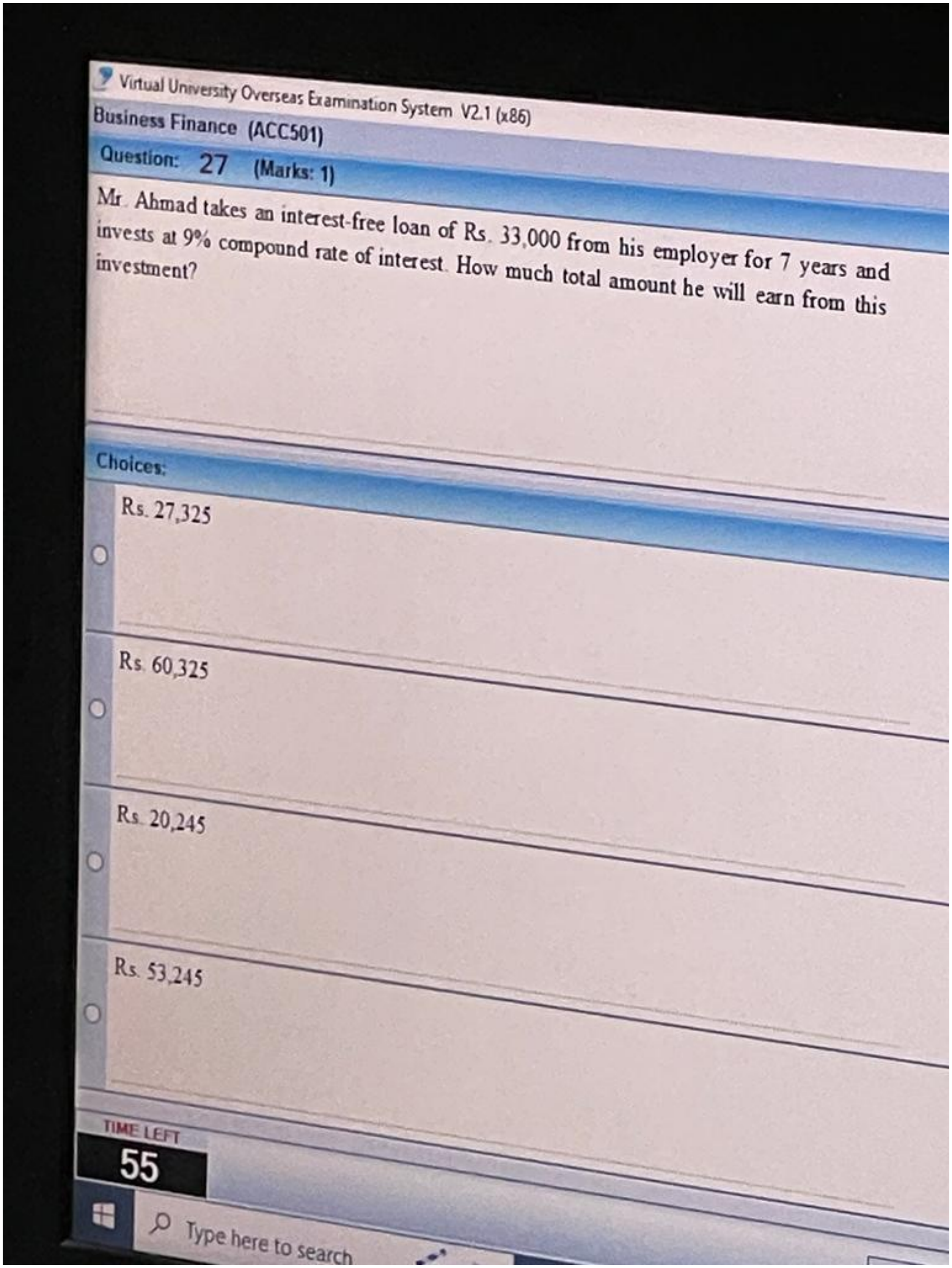

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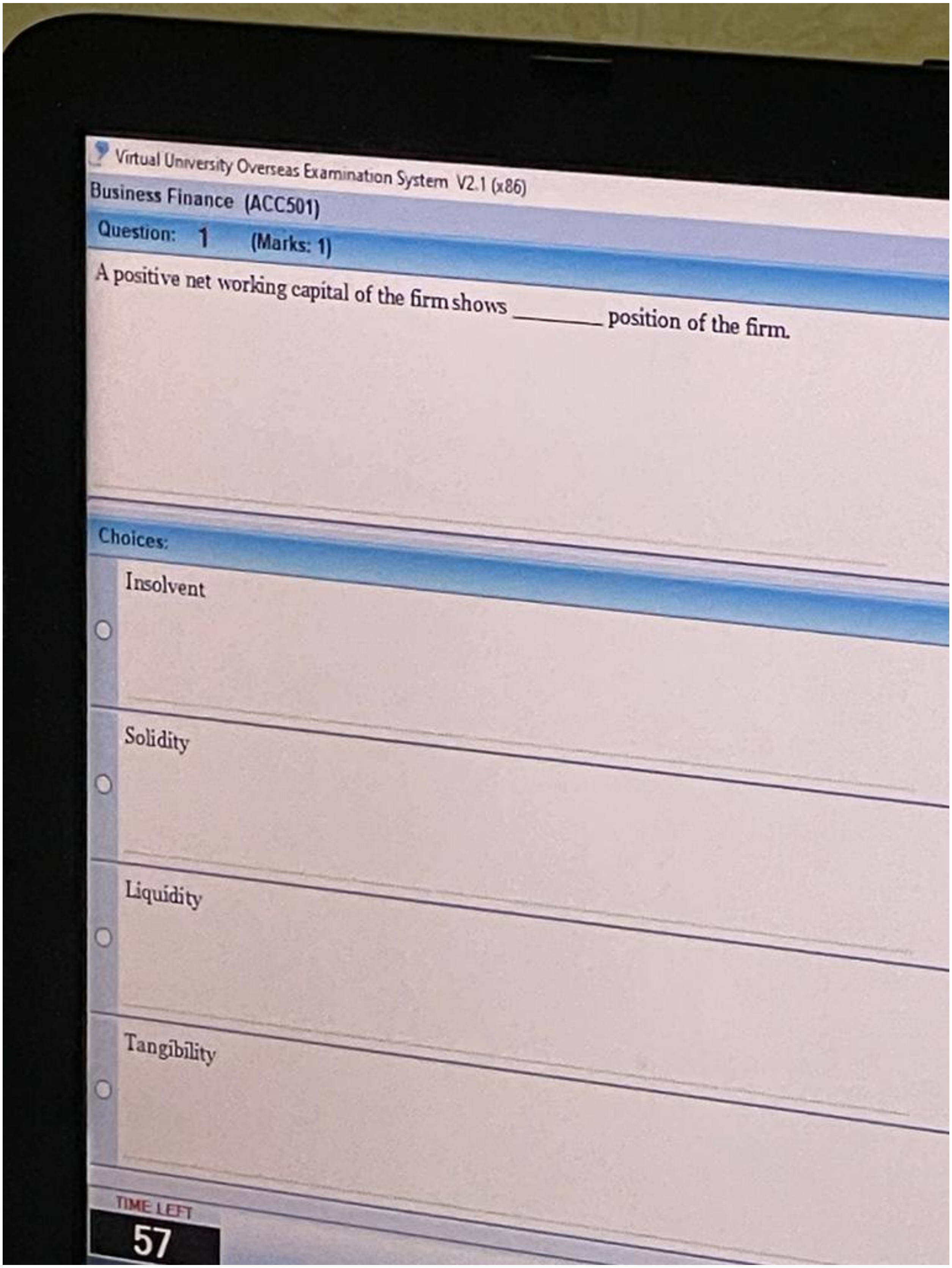

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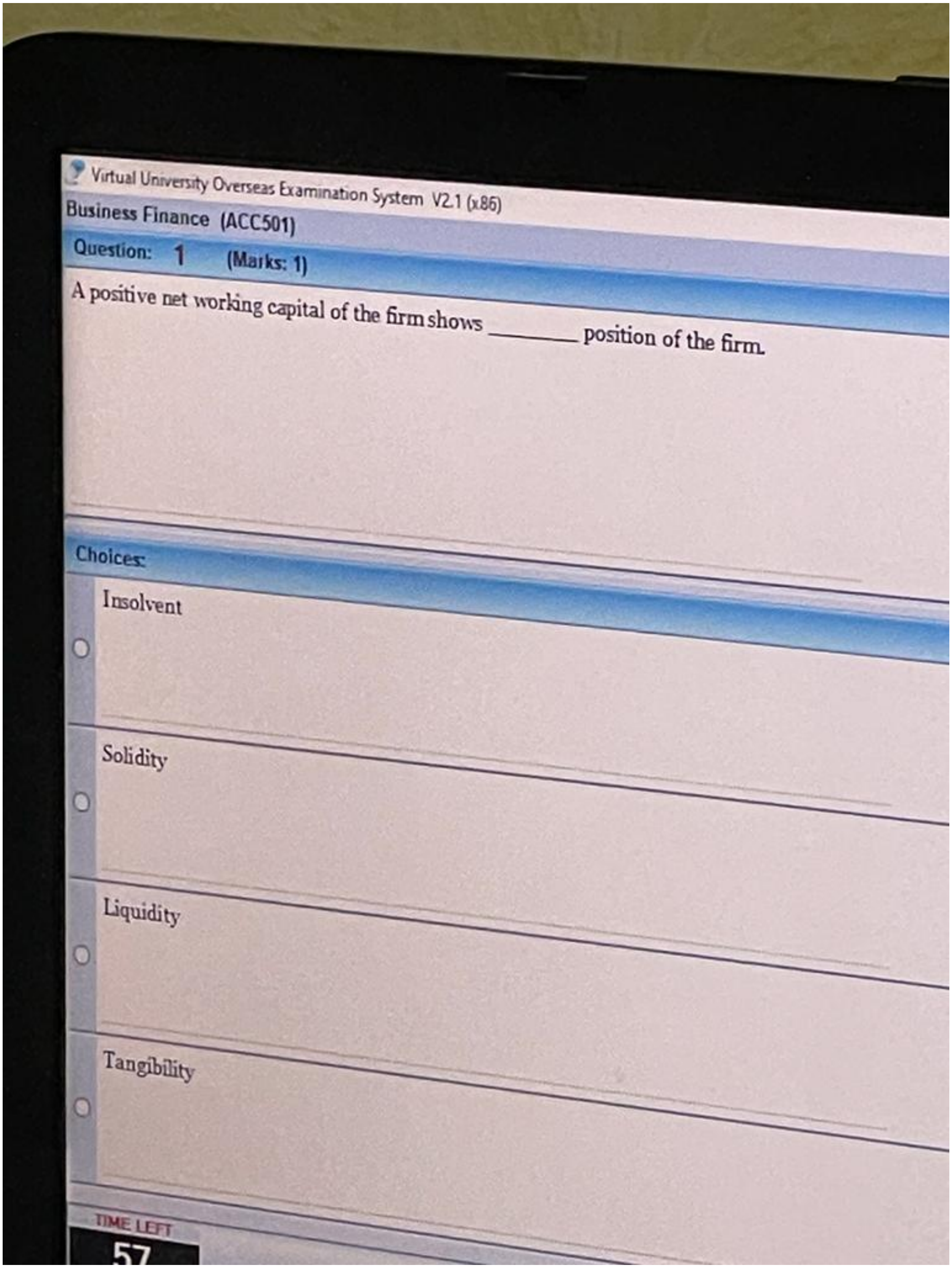

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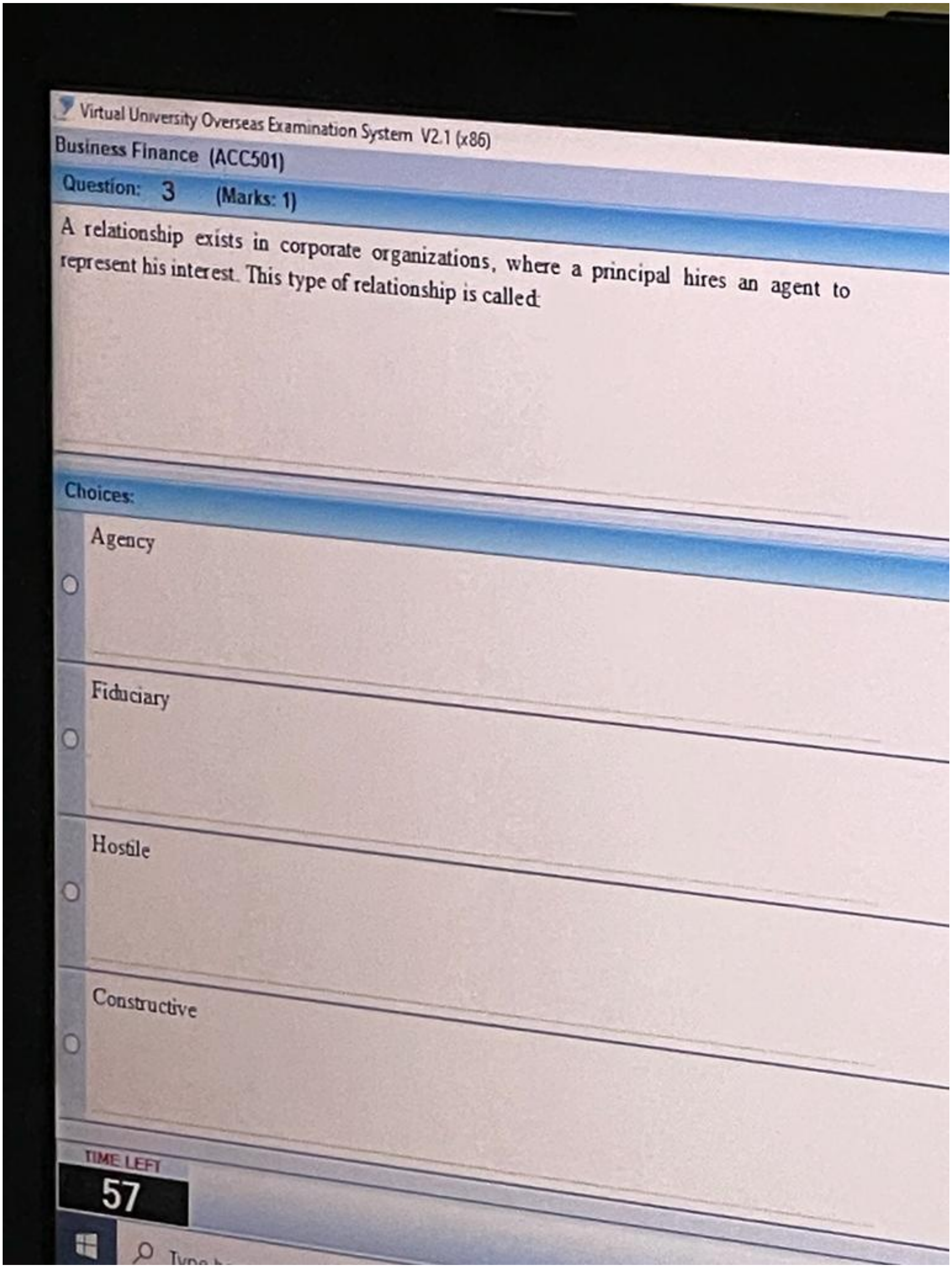

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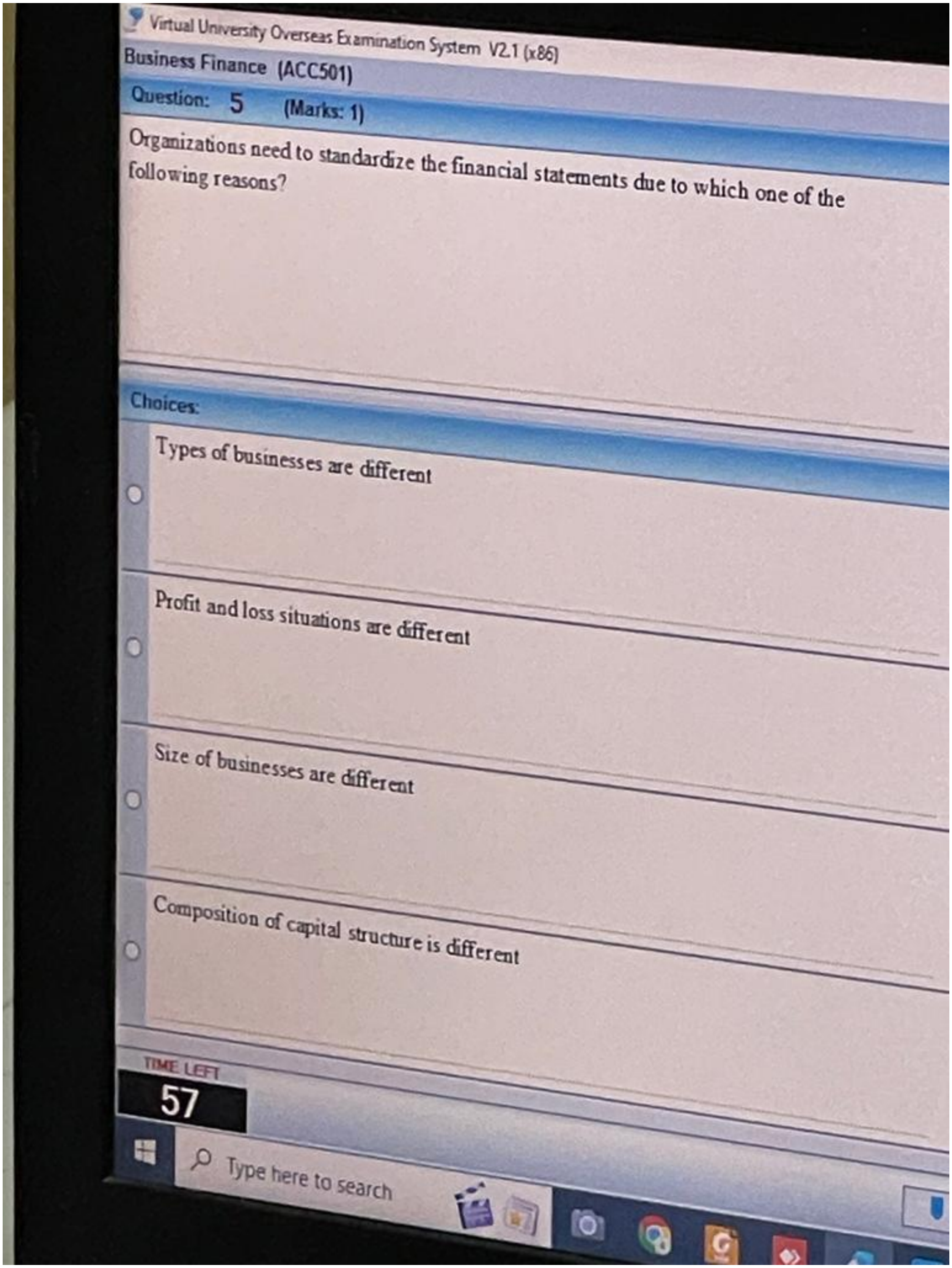

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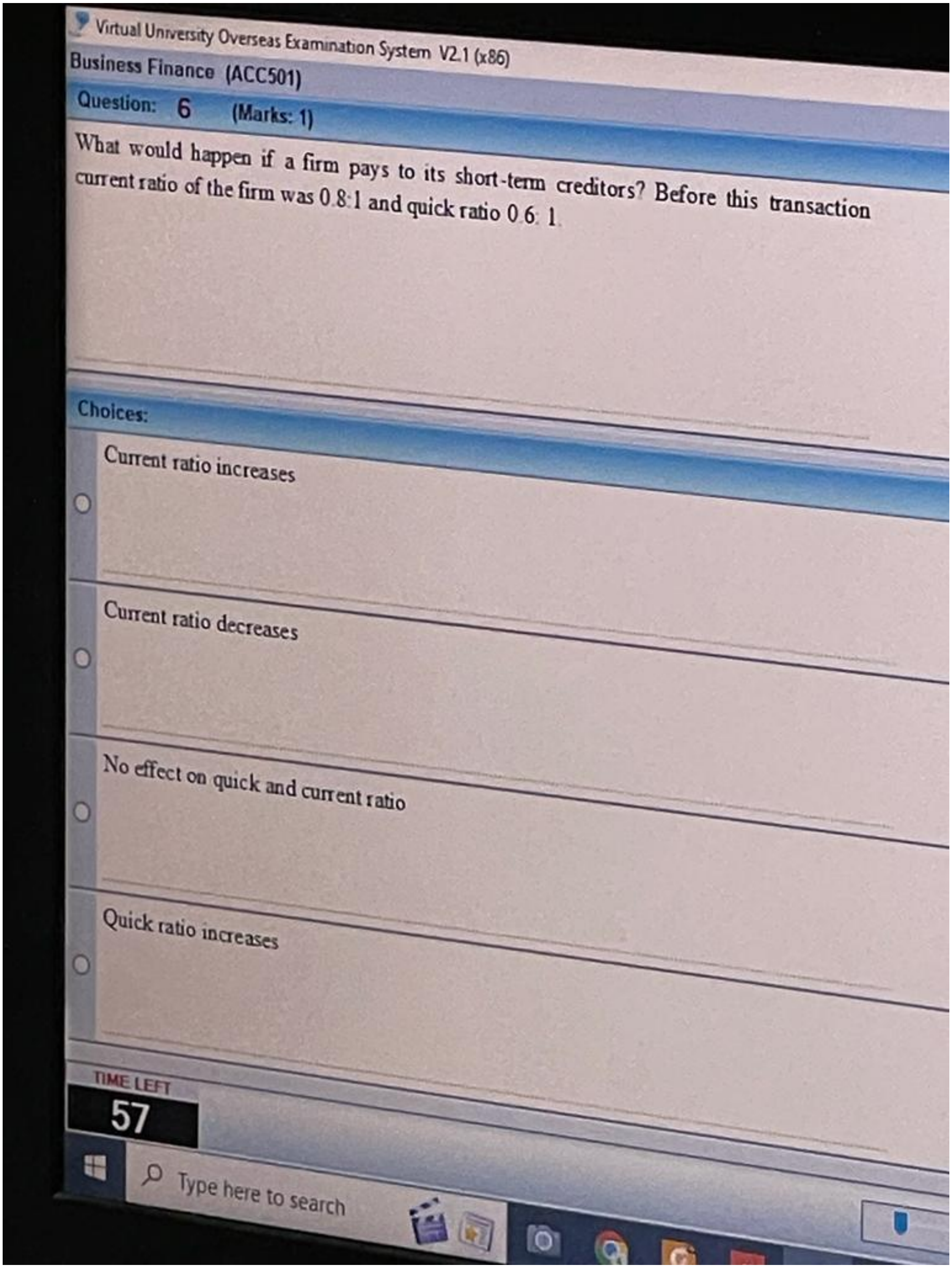

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 6 (Marks: 1)

What would happen if a firm pays to its short-term creditors? Before this transaction current ratio of the firm was 0.8:1 and quick ratio 0.6: 1.

Choices:

- Current ratio increases
- Current ratio decreases
- No effect on quick and current ratio
- Quick ratio increases

TIME LEFT

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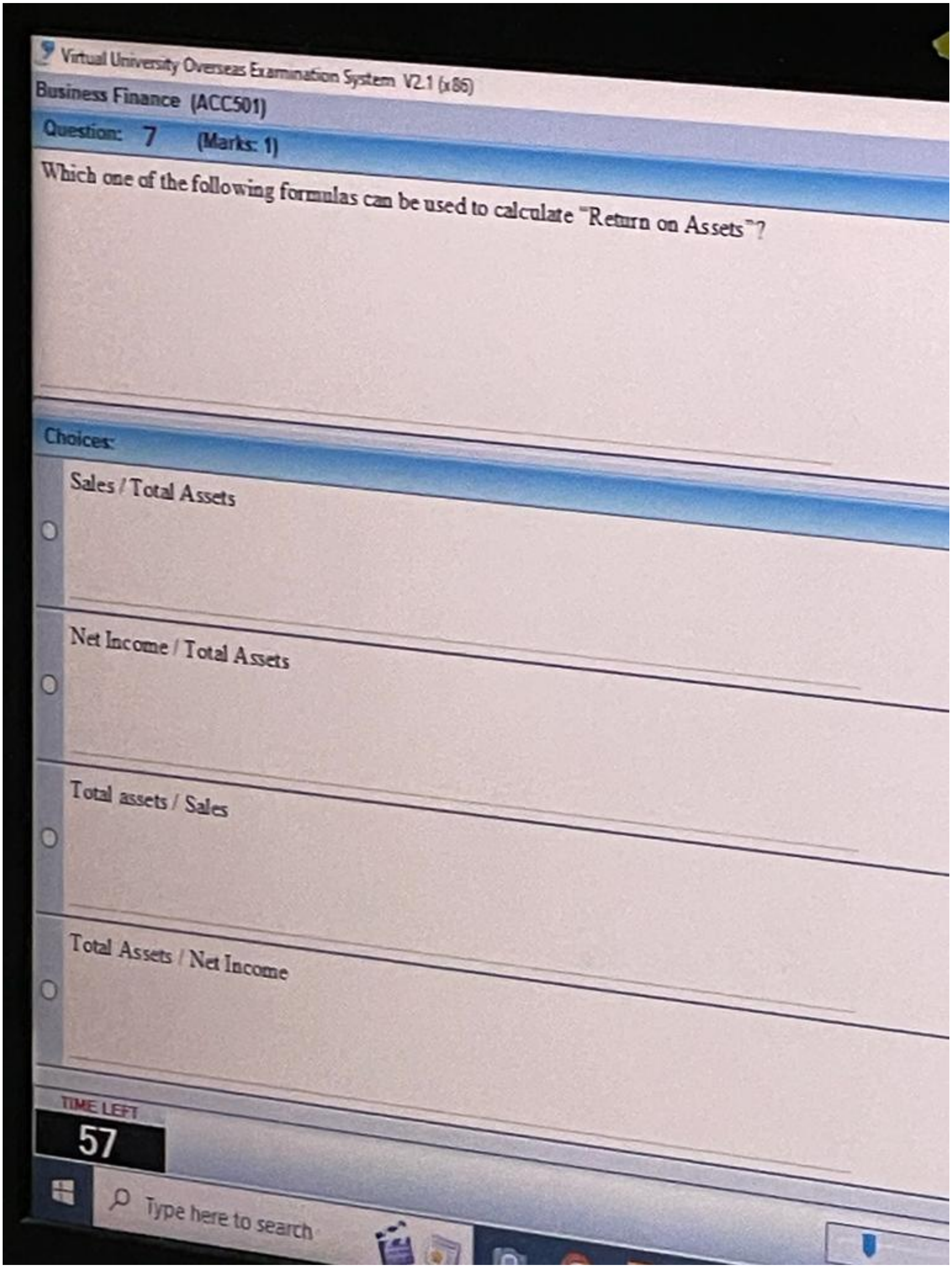

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Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 8 (Marks: 1)

Which one of the following formulas can be used to calculate "Return on Equity"?

Choices:

- Sales / Shareholders' equity
- Net Income / Shareholders' equity
- Shareholders' equity / Sales
- Shareholders' equity / Net Income

TIME LEFT

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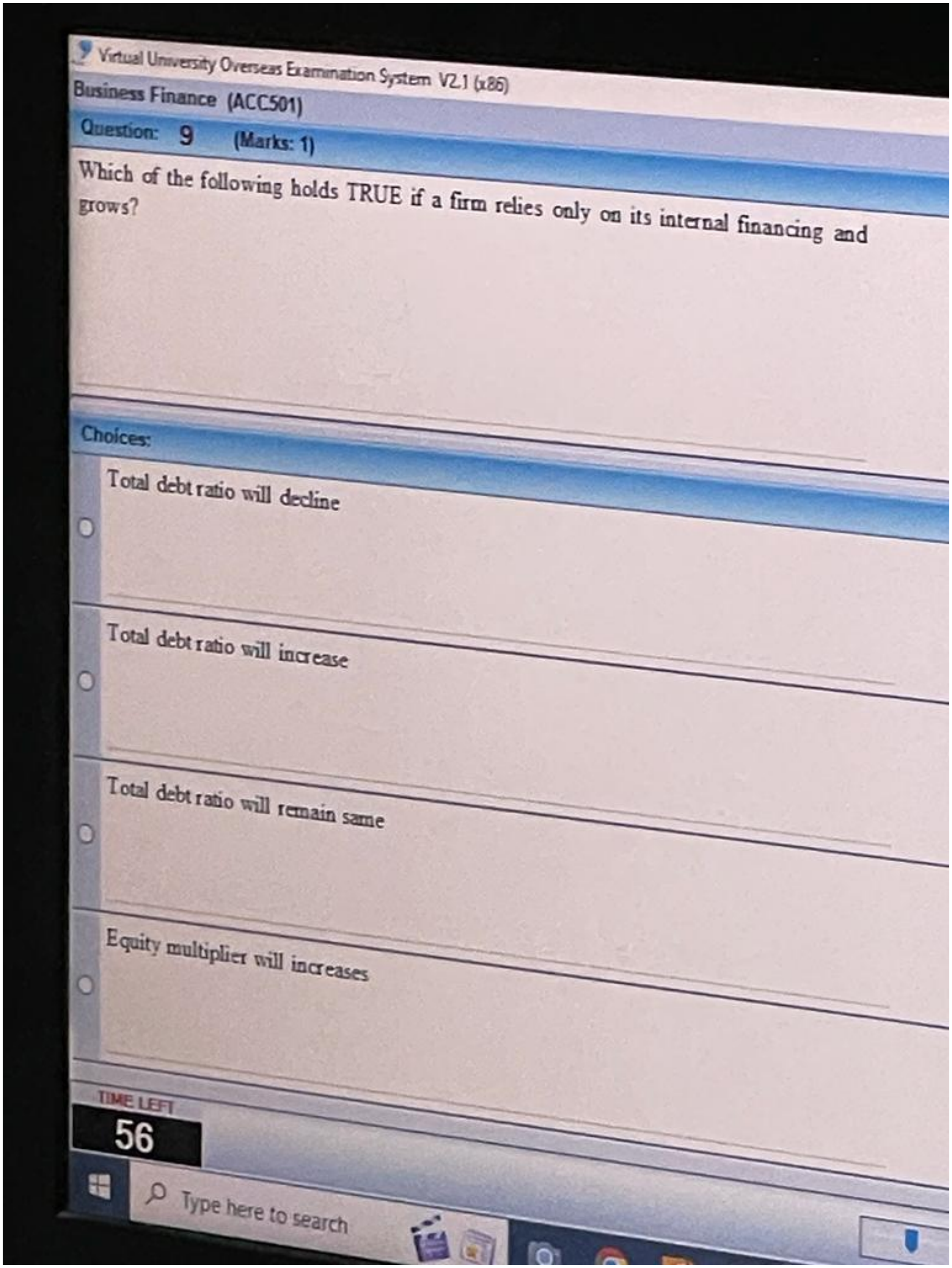

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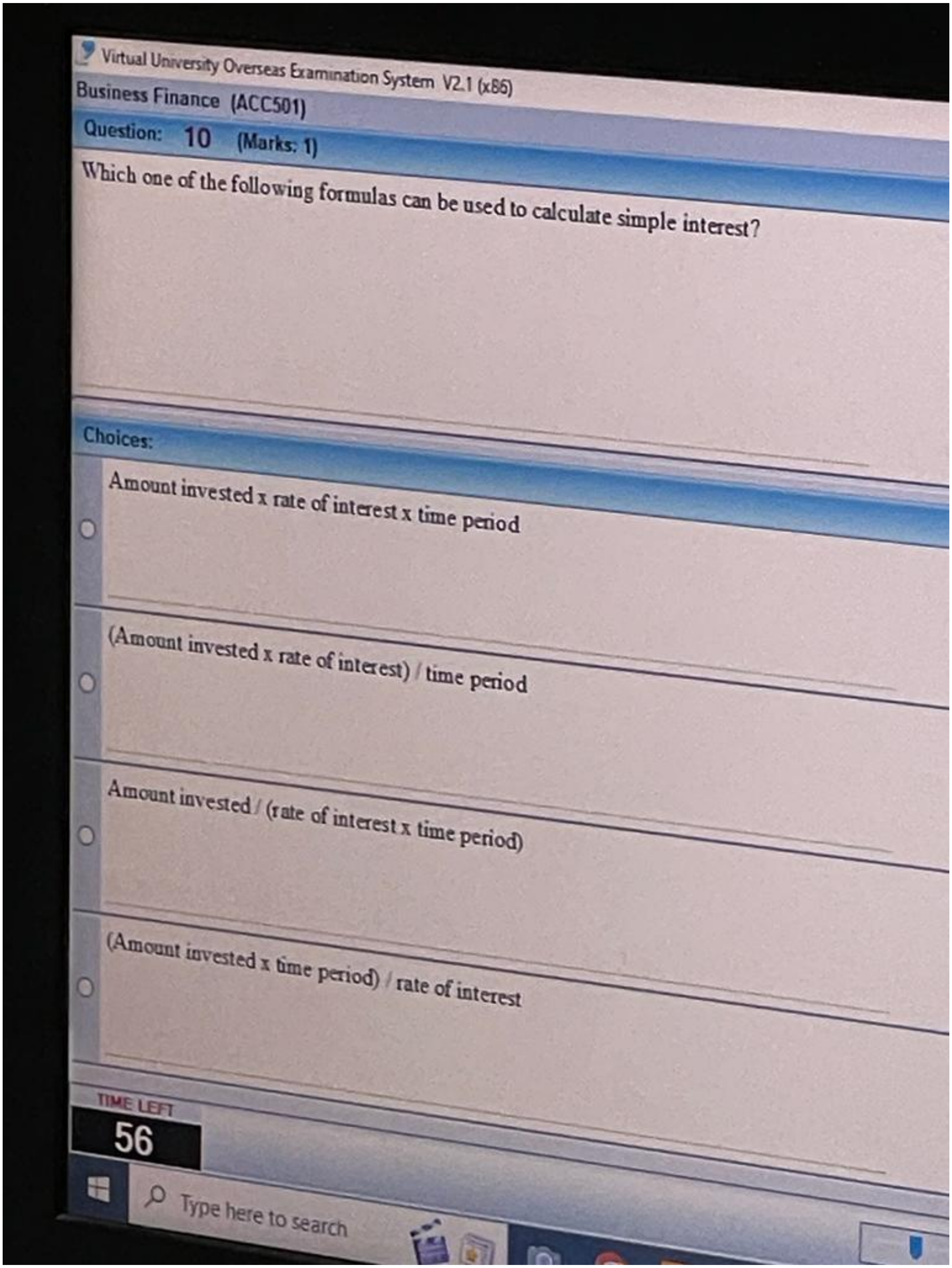

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 10 (Marks: 1)

Which one of the following formulas can be used to calculate simple interest?

Choices:

- Amount invested x rate of interest x time period
- (Amount invested x rate of interest) / time period
- Amount invested / (rate of interest x time period)
- (Amount invested x time period) / rate of interest

TIME LEFT
56

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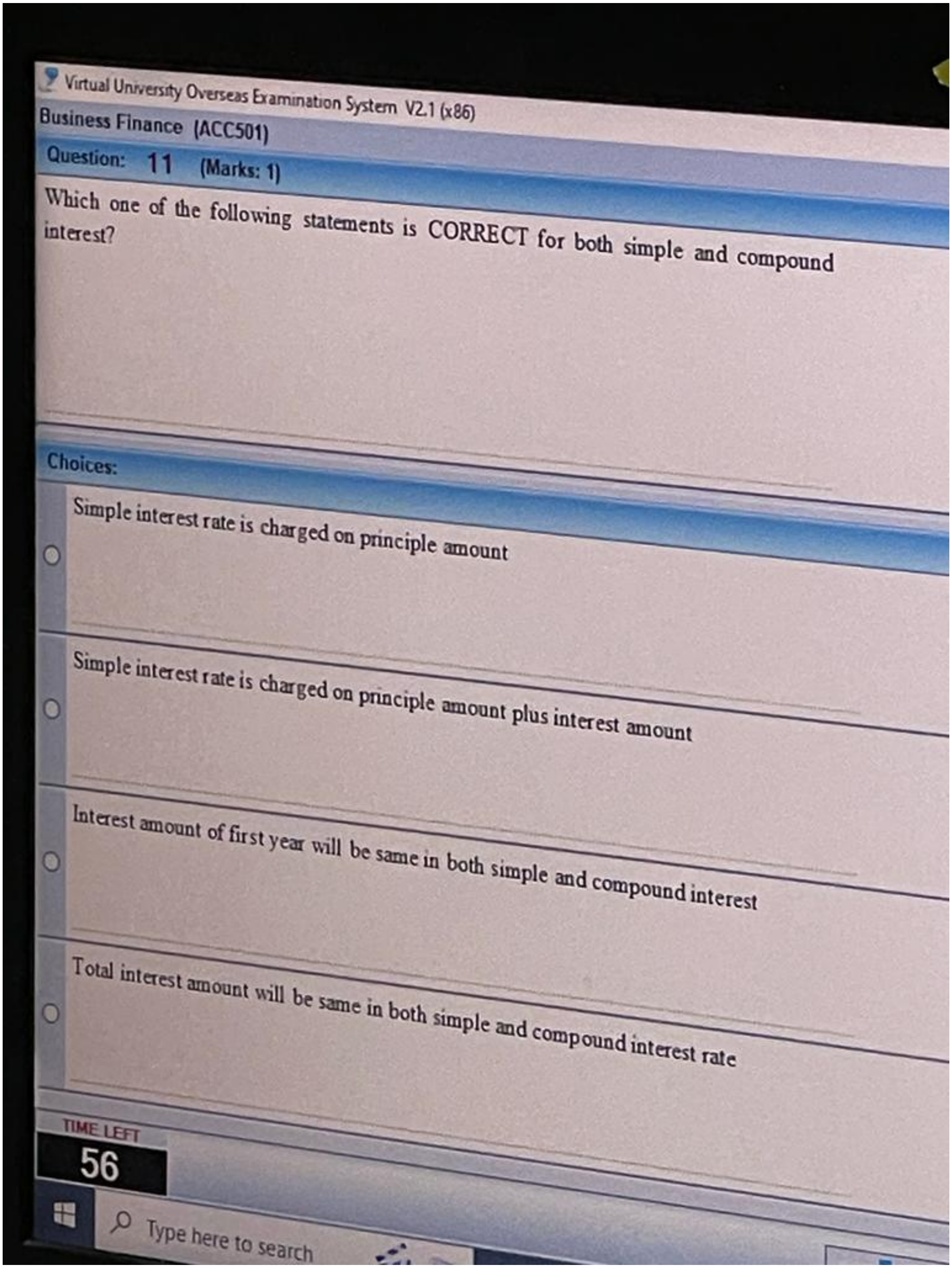

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 11 (Marks: 1)

Which one of the following statements is CORRECT for both simple and compound interest?

Choices:

- Simple interest rate is charged on principle amount
- Simple interest rate is charged on principle amount plus interest amount
- Interest amount of first year will be same in both simple and compound interest
- Total interest amount will be same in both simple and compound interest rate

TIME LEFT

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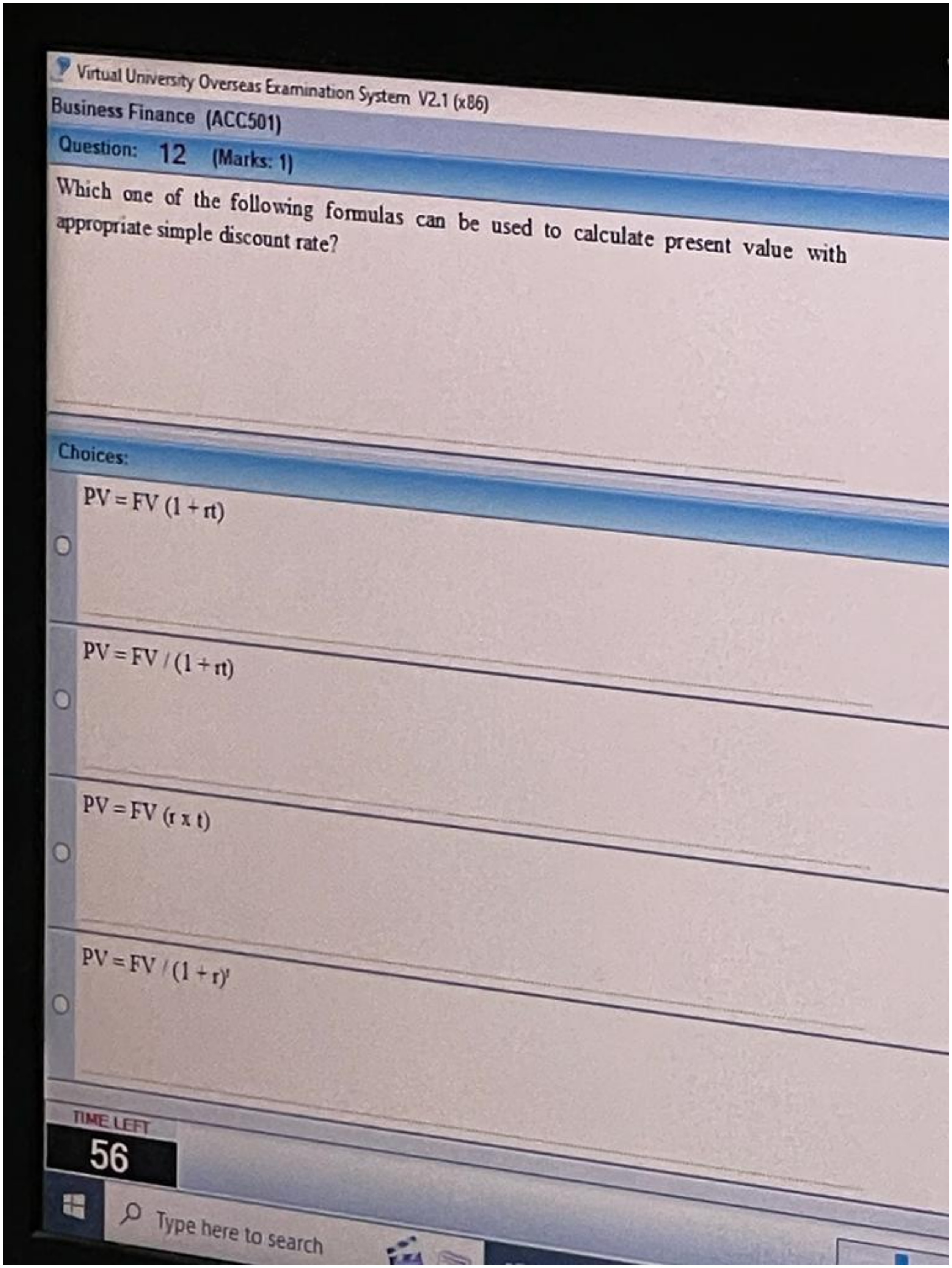

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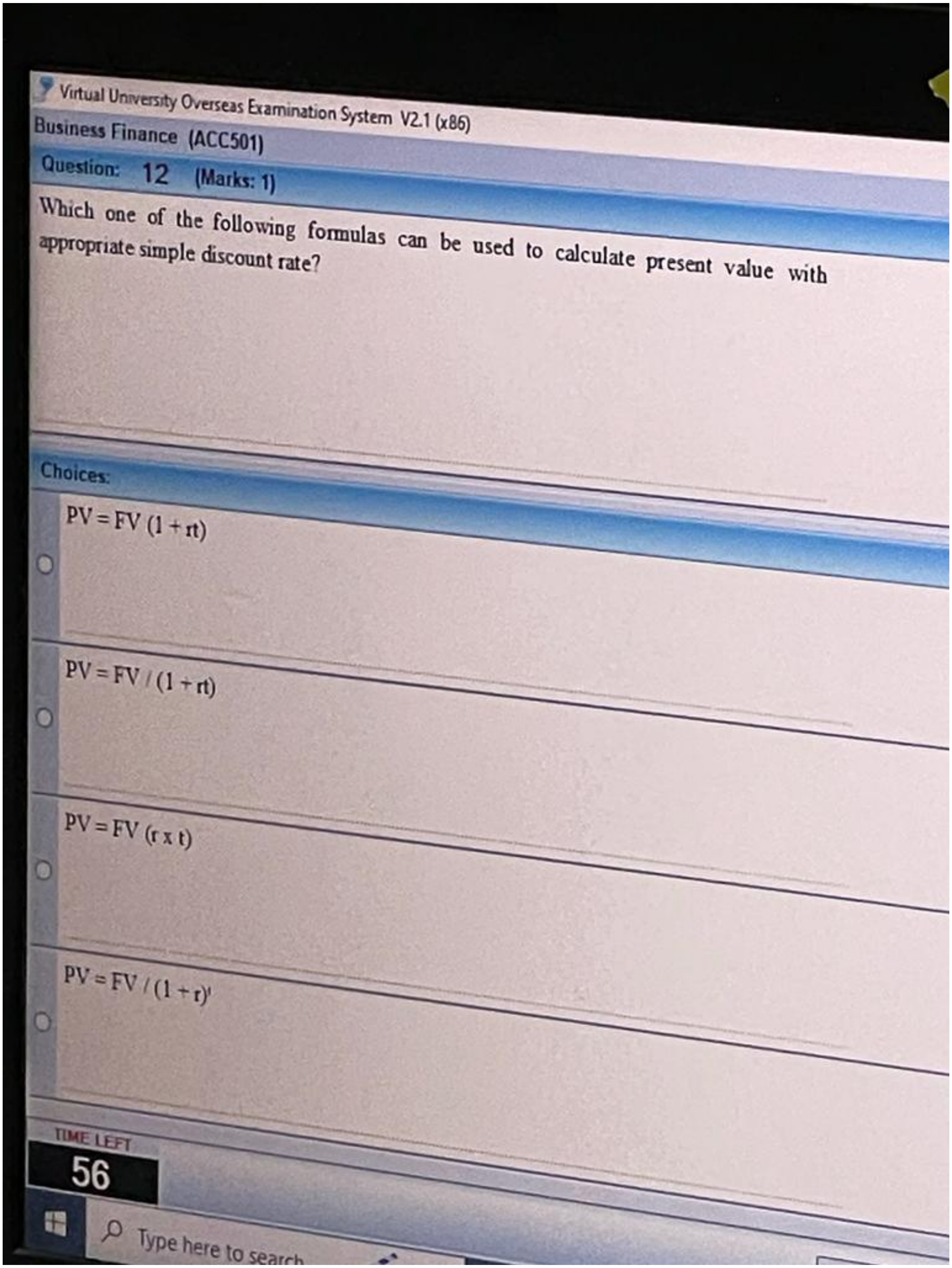

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 12 (Marks: 1)

Which one of the following formulas can be used to calculate present value with appropriate simple discount rate?

Choices:

- $PV = FV (1 + rt)$
- $PV = FV / (1 + rt)$
- $PV = FV (r \times t)$
- $PV = FV / (1 + r)^t$

TIME LEFT

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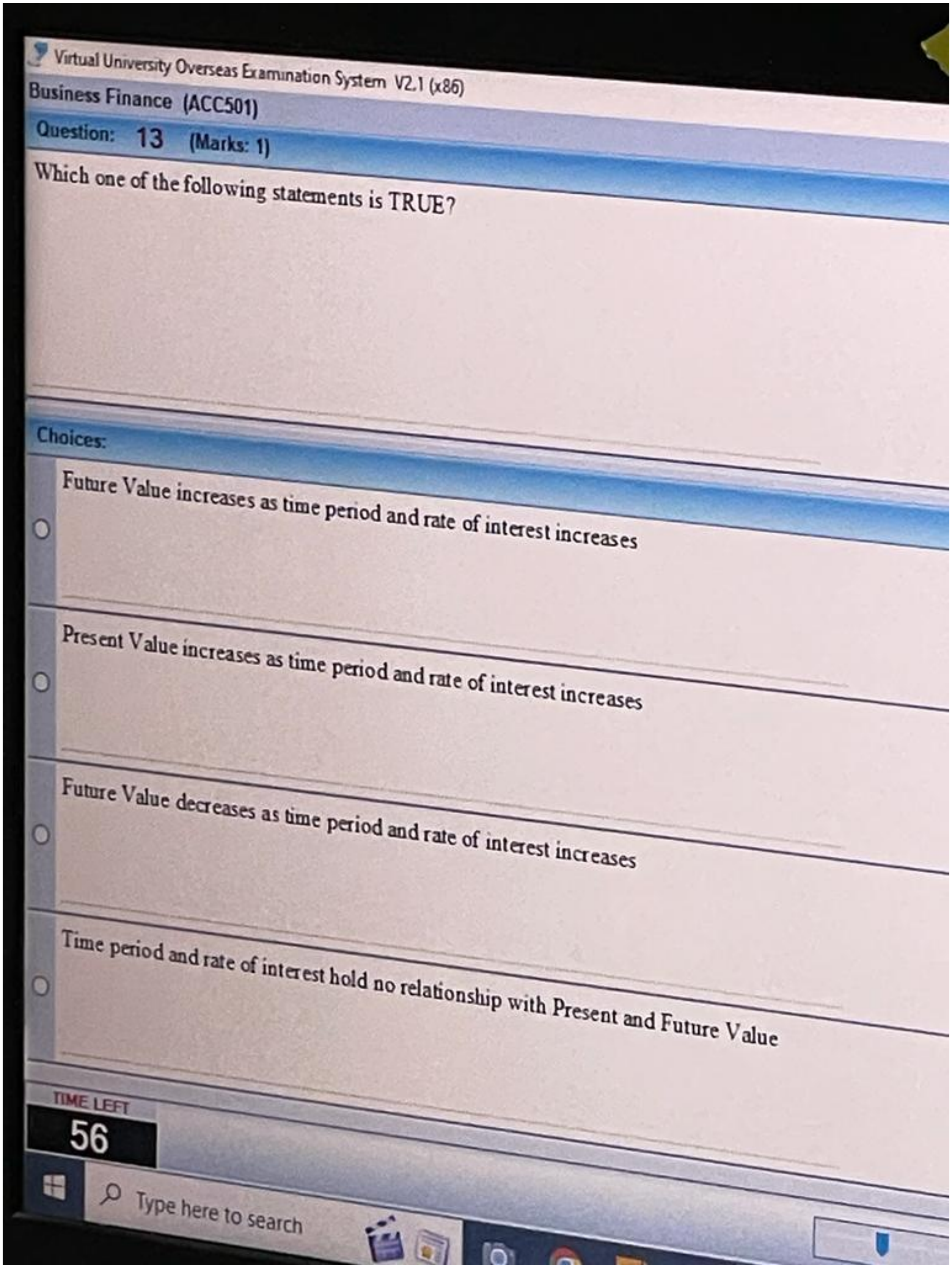

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 13 (Marks: 1)

Which one of the following statements is TRUE?

Choices:

- Future Value increases as time period and rate of interest increases
- Present Value increases as time period and rate of interest increases
- Future Value decreases as time period and rate of interest increases
- Time period and rate of interest hold no relationship with Present and Future Value

TIME LEFT

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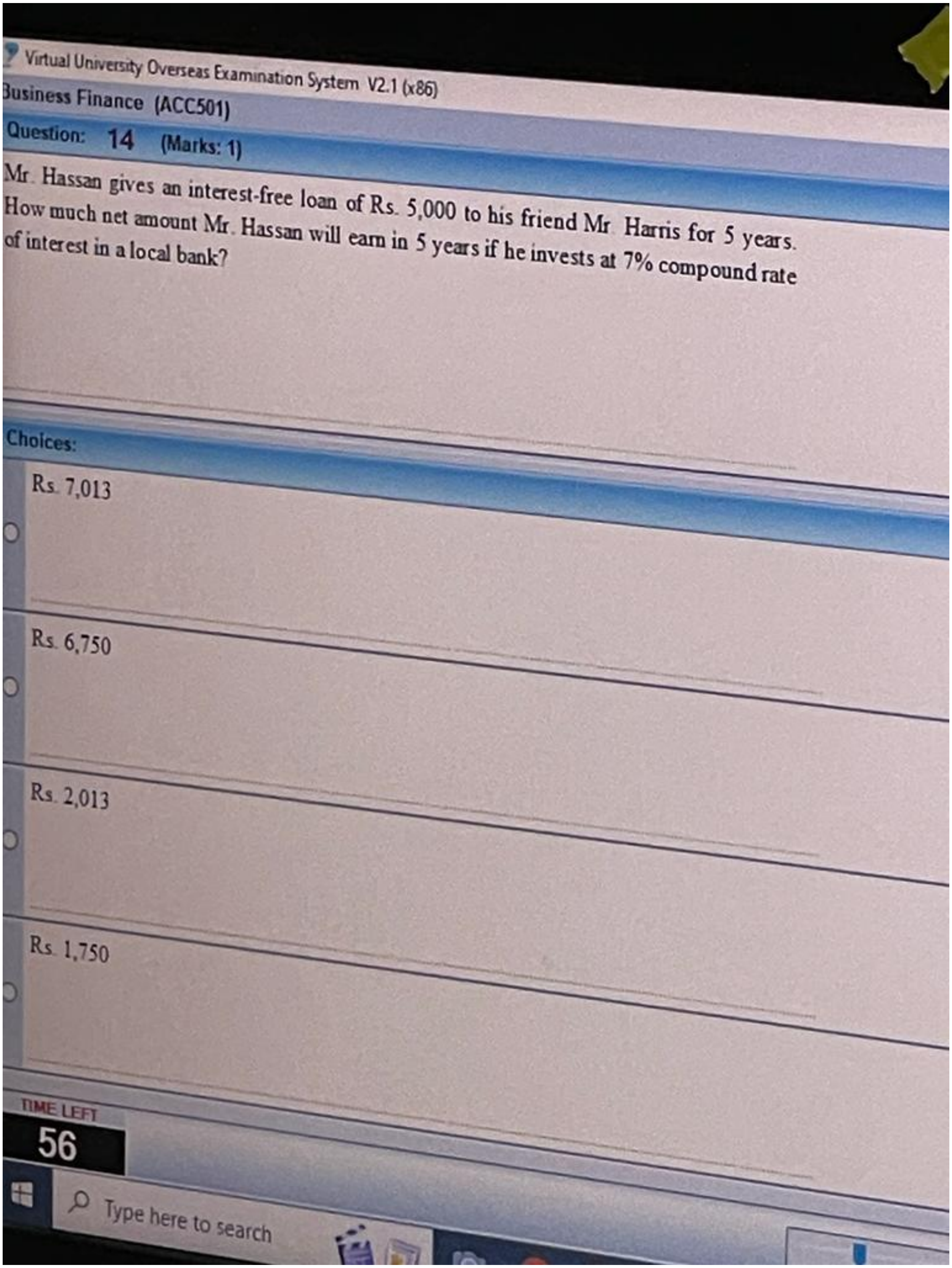
Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 14 (Marks: 1)

Mr. Hassan gives an interest-free loan of Rs. 5,000 to his friend Mr. Harris for 5 years. How much net amount Mr. Hassan will earn in 5 years if he invests at 7% compound rate of interest in a local bank?

Choices:

- Rs. 7,013
- Rs. 6,750
- Rs. 2,013
- Rs. 1,750

TIME LEFT

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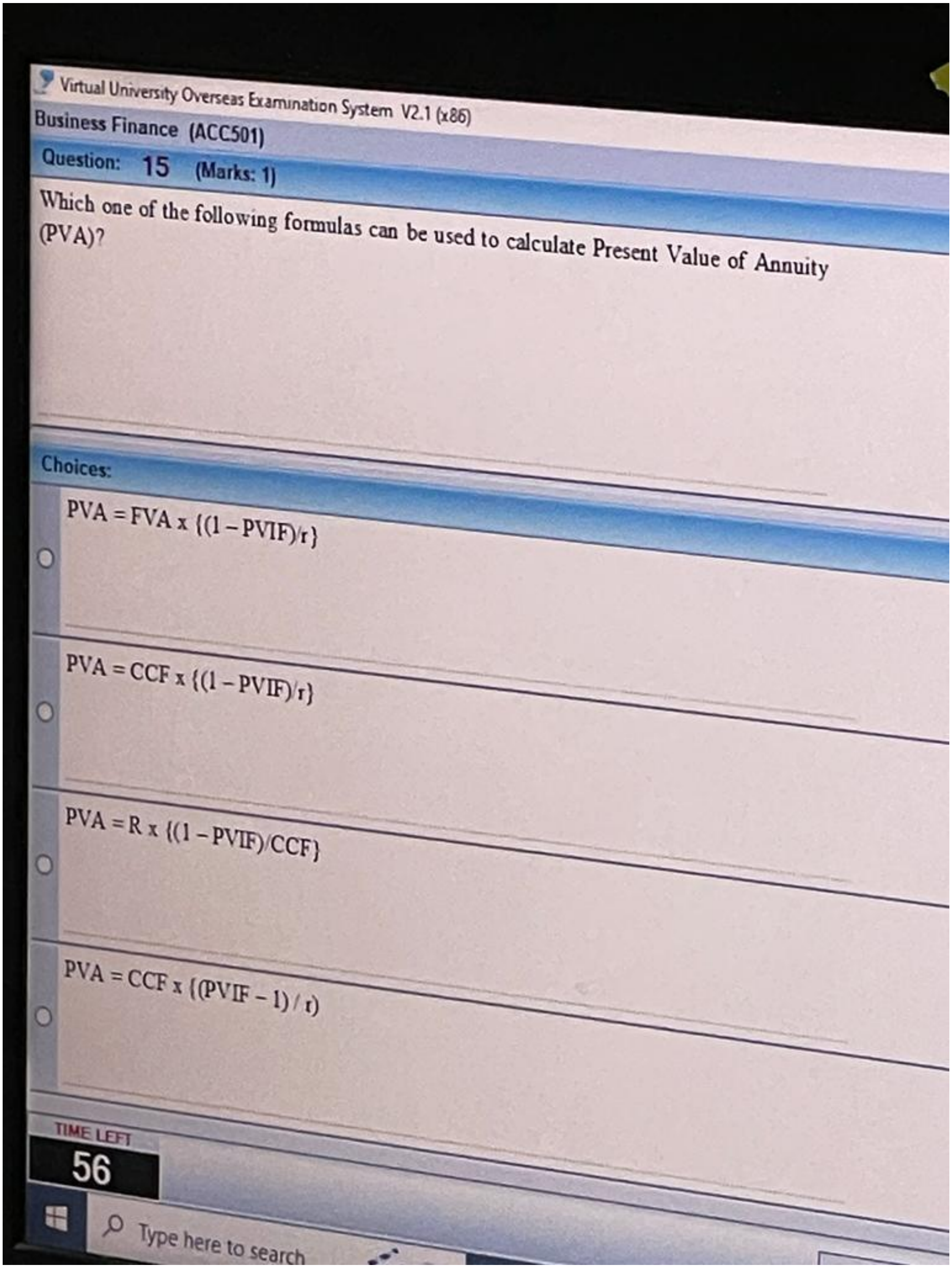

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 15 (Marks: 1)

Which one of the following formulas can be used to calculate Present Value of Annuity (PVA)?

Choices:

- PVA = FVA x {(1 – PVIF)/r}
- PVA = CCF x {(1 – PVIF)/r}
- PVA = R x {(1 – PVIF)/CCF}
- PVA = CCF x {(PVIF – 1) / r)

TIME LEFT

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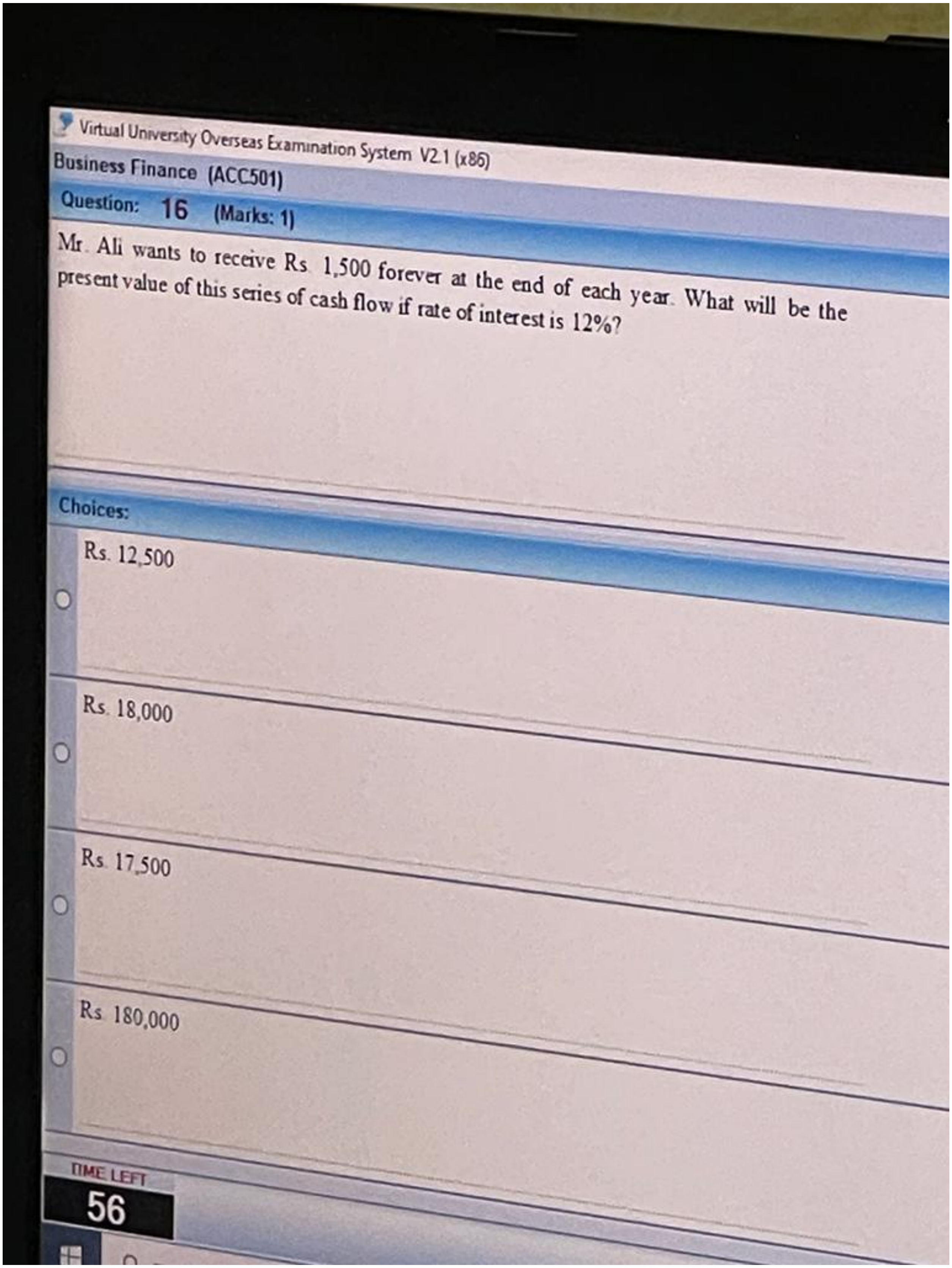

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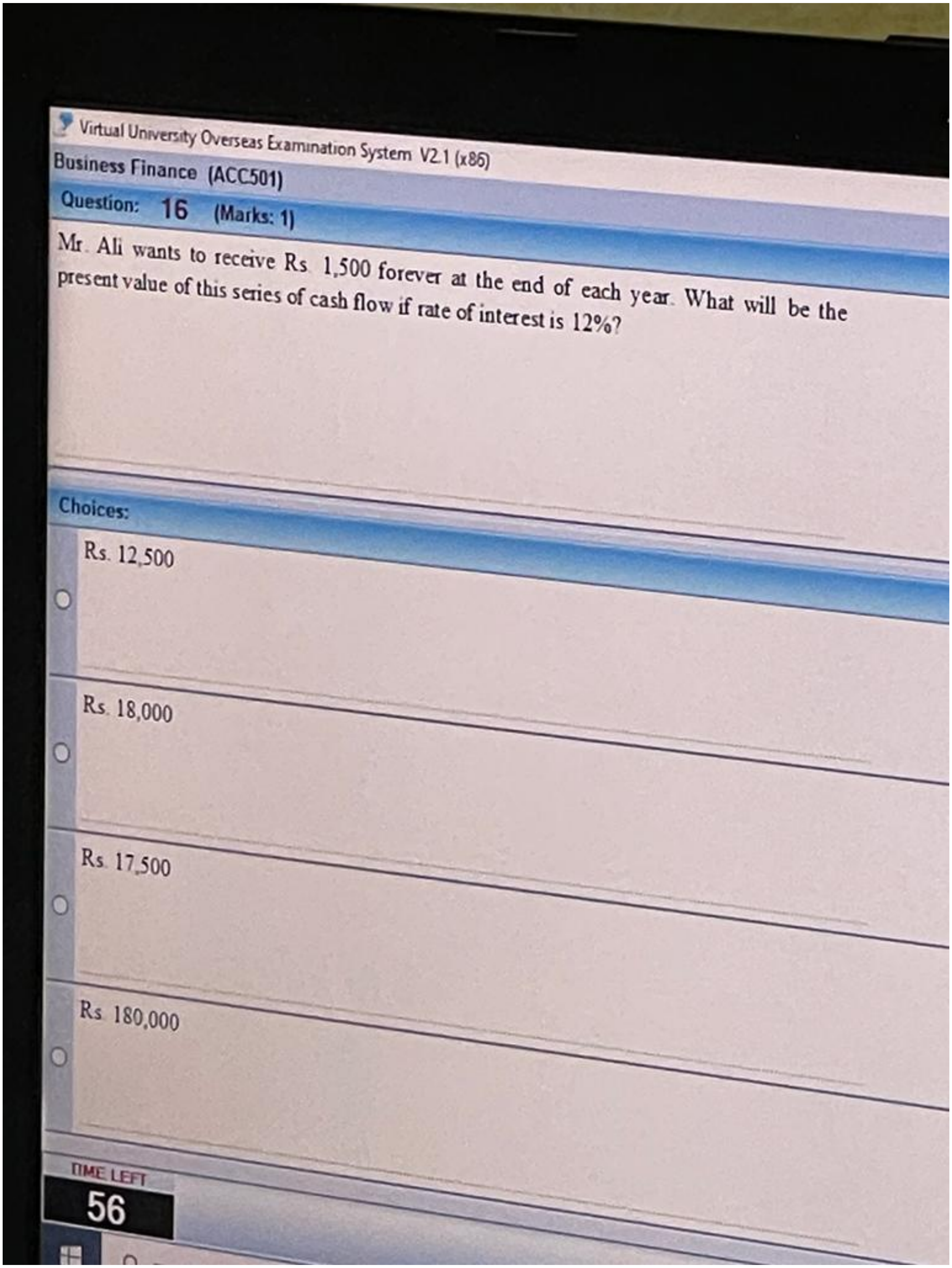

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 16 (Marks: 1)

Mr. Ali wants to receive Rs. 1,500 forever at the end of each year. What will be the present value of this series of cash flow if rate of interest is 12%?

Choices:

- Rs. 12,500
- Rs. 18,000
- Rs. 17,500
- Rs. 180,000

TIME LEFT

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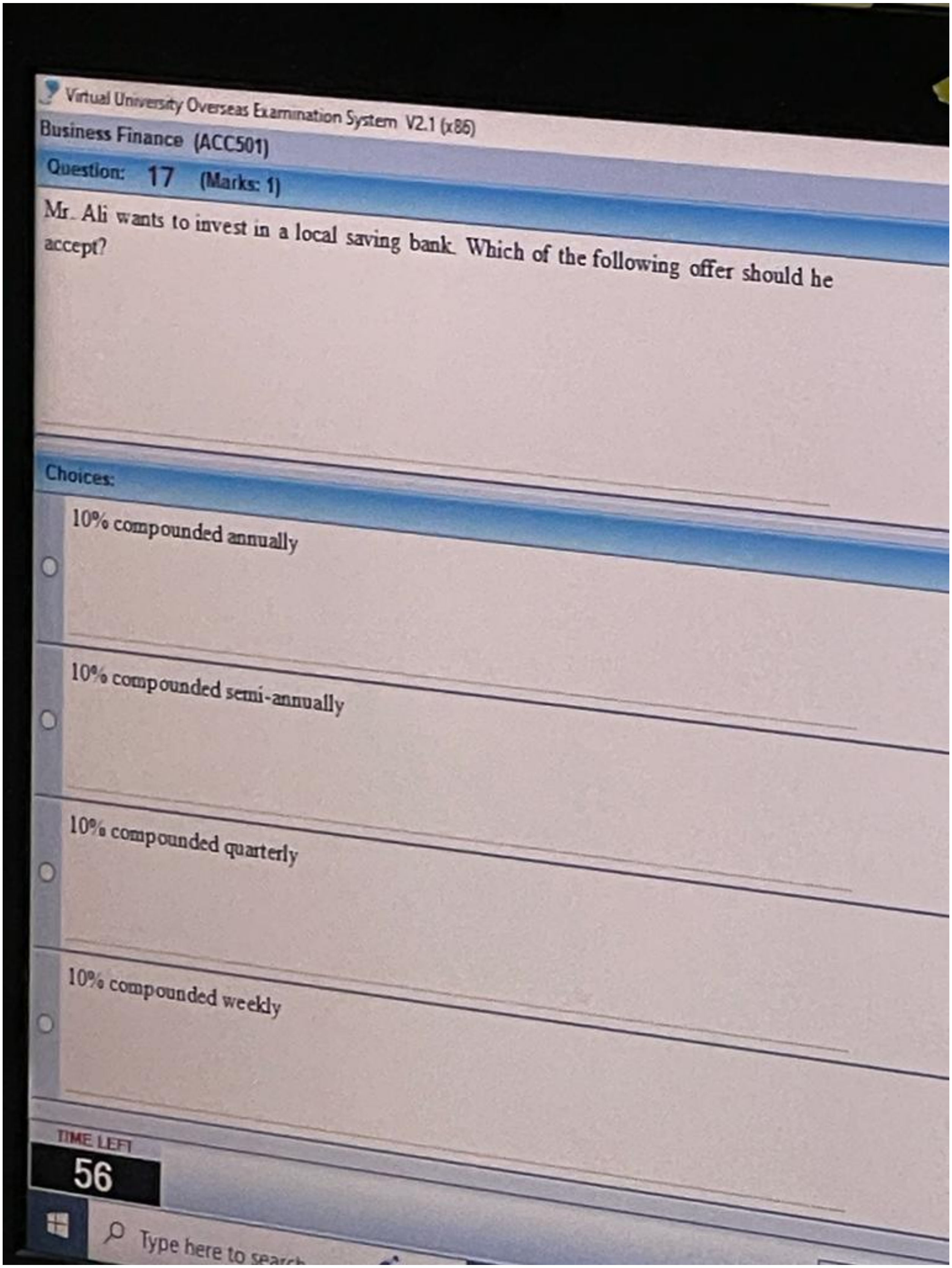

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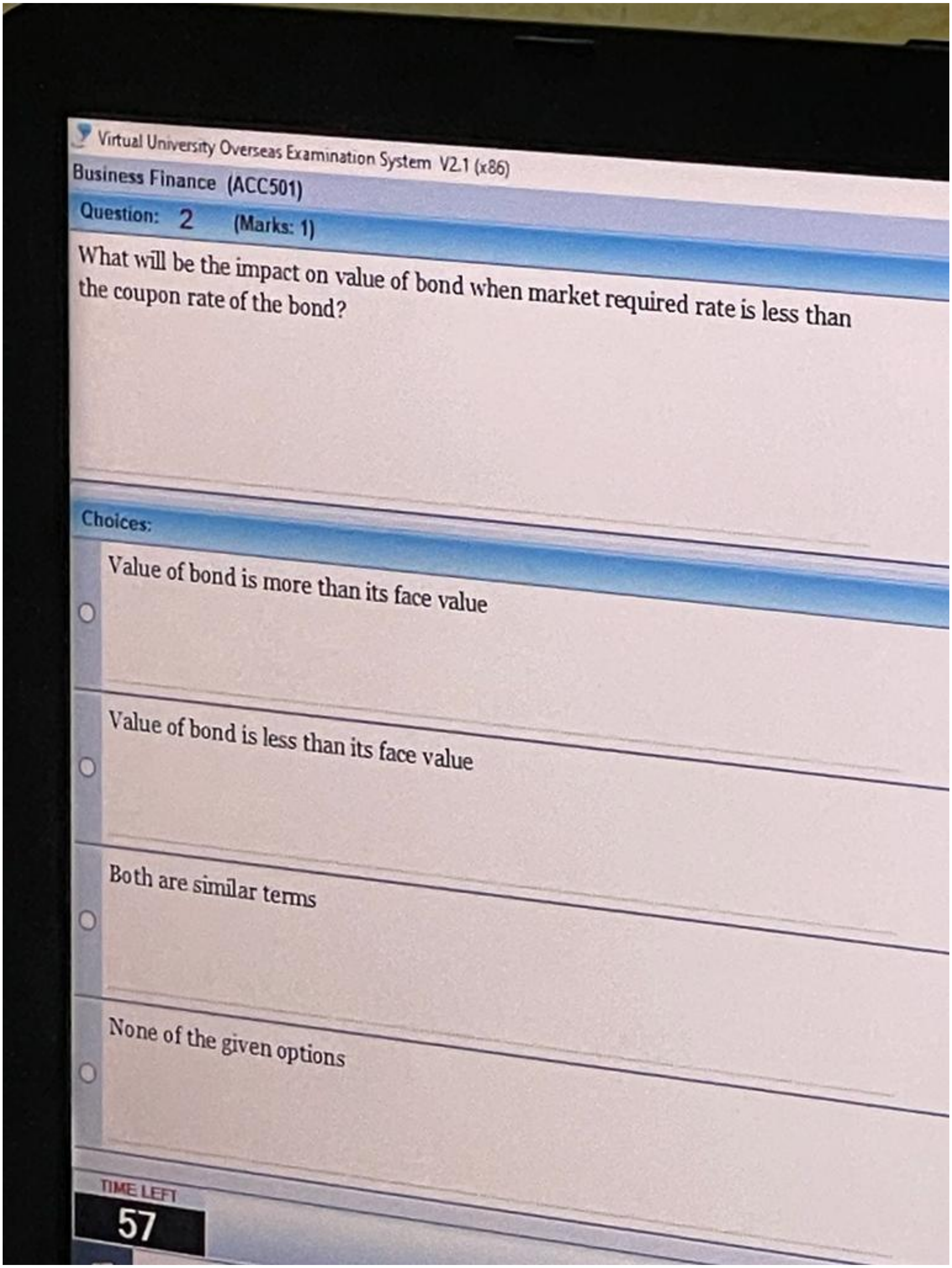

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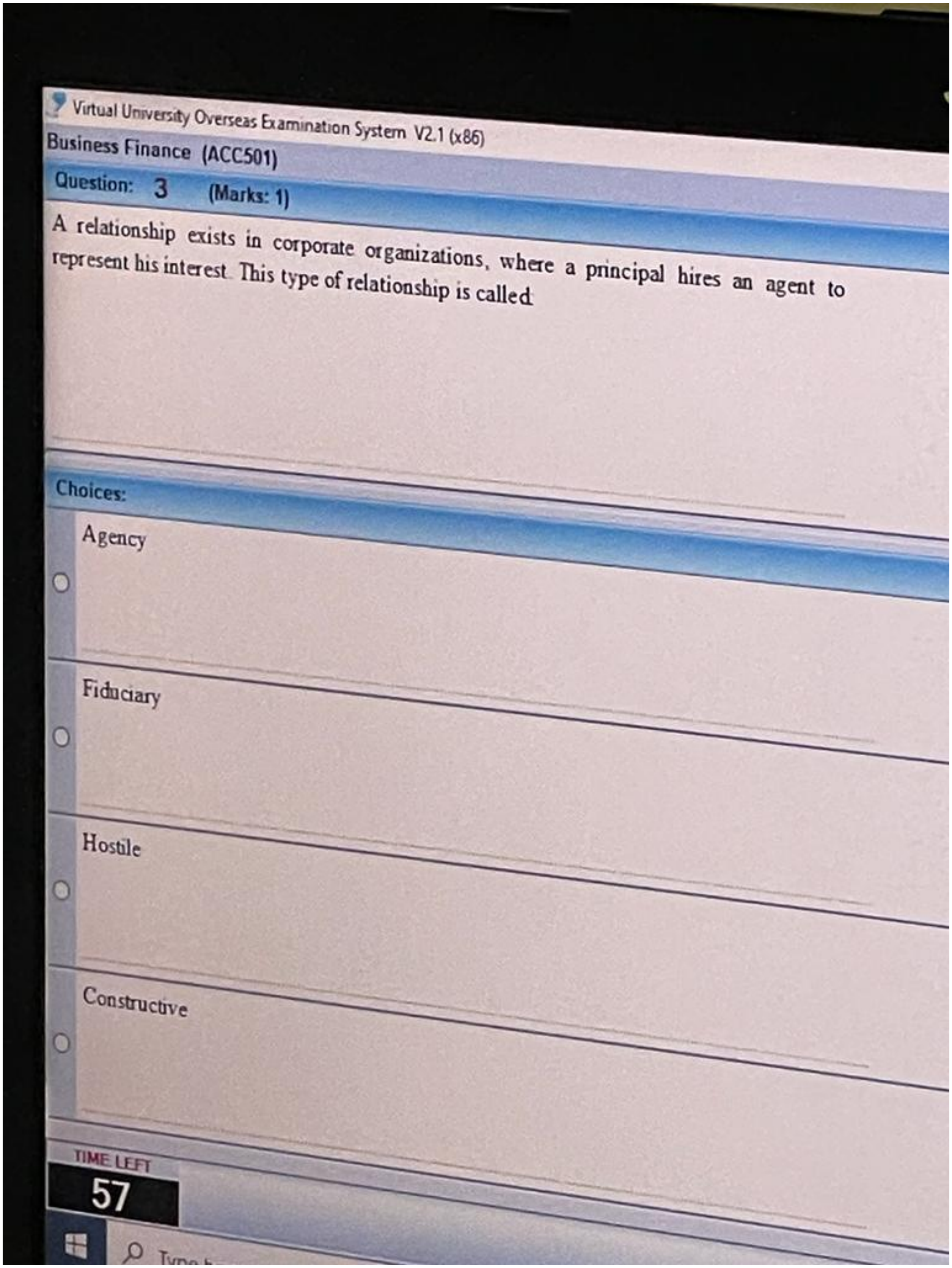

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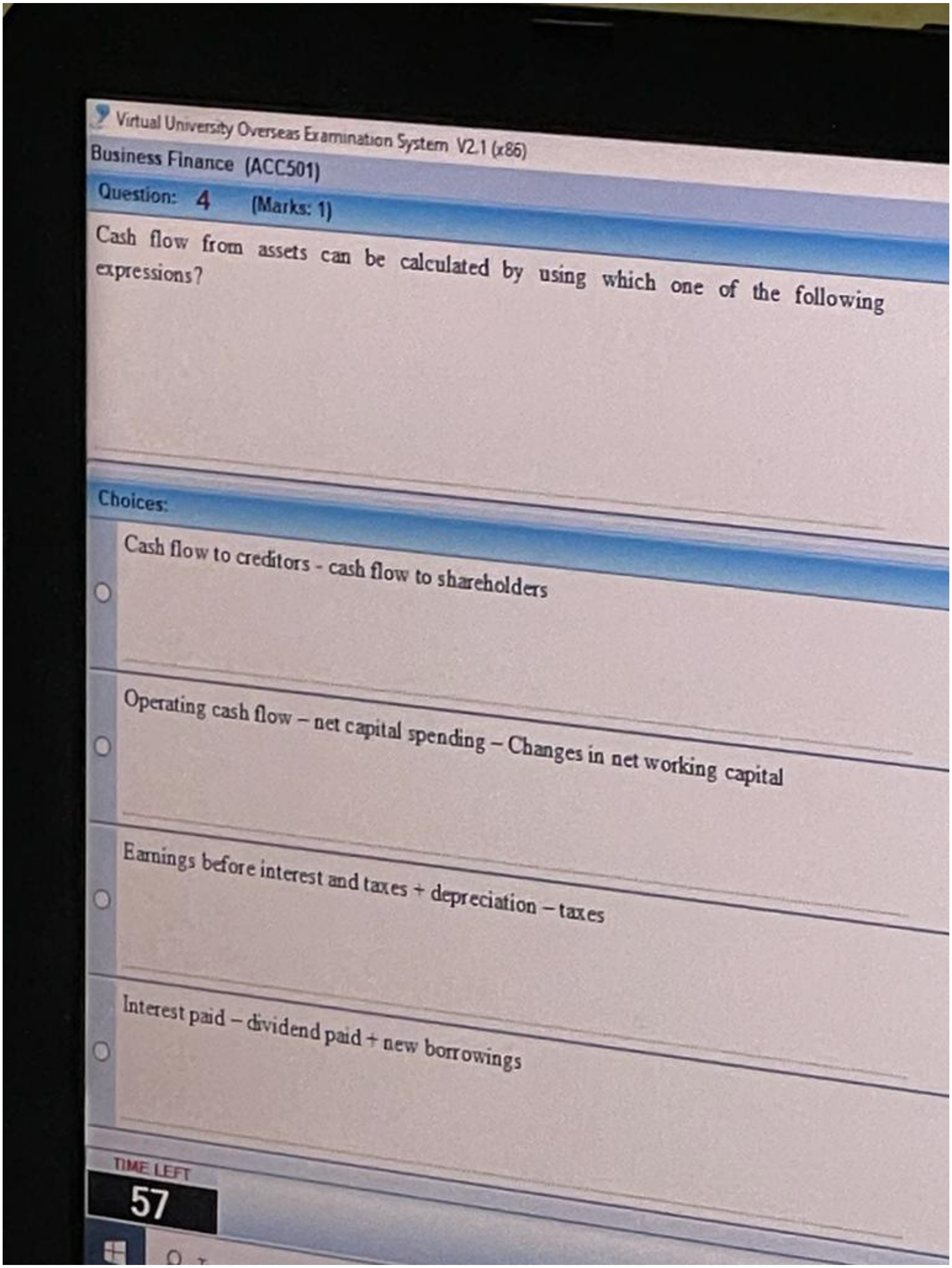

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 4 (Marks: 1)

Cash flow from assets can be calculated by using which one of the following expressions?

Choices:

- Cash flow to creditors - cash flow to shareholders
- Operating cash flow – net capital spending – Changes in net working capital
- Earnings before interest and taxes + depreciation – taxes
- Interest paid – dividend paid + new borrowings

TIME LEFT

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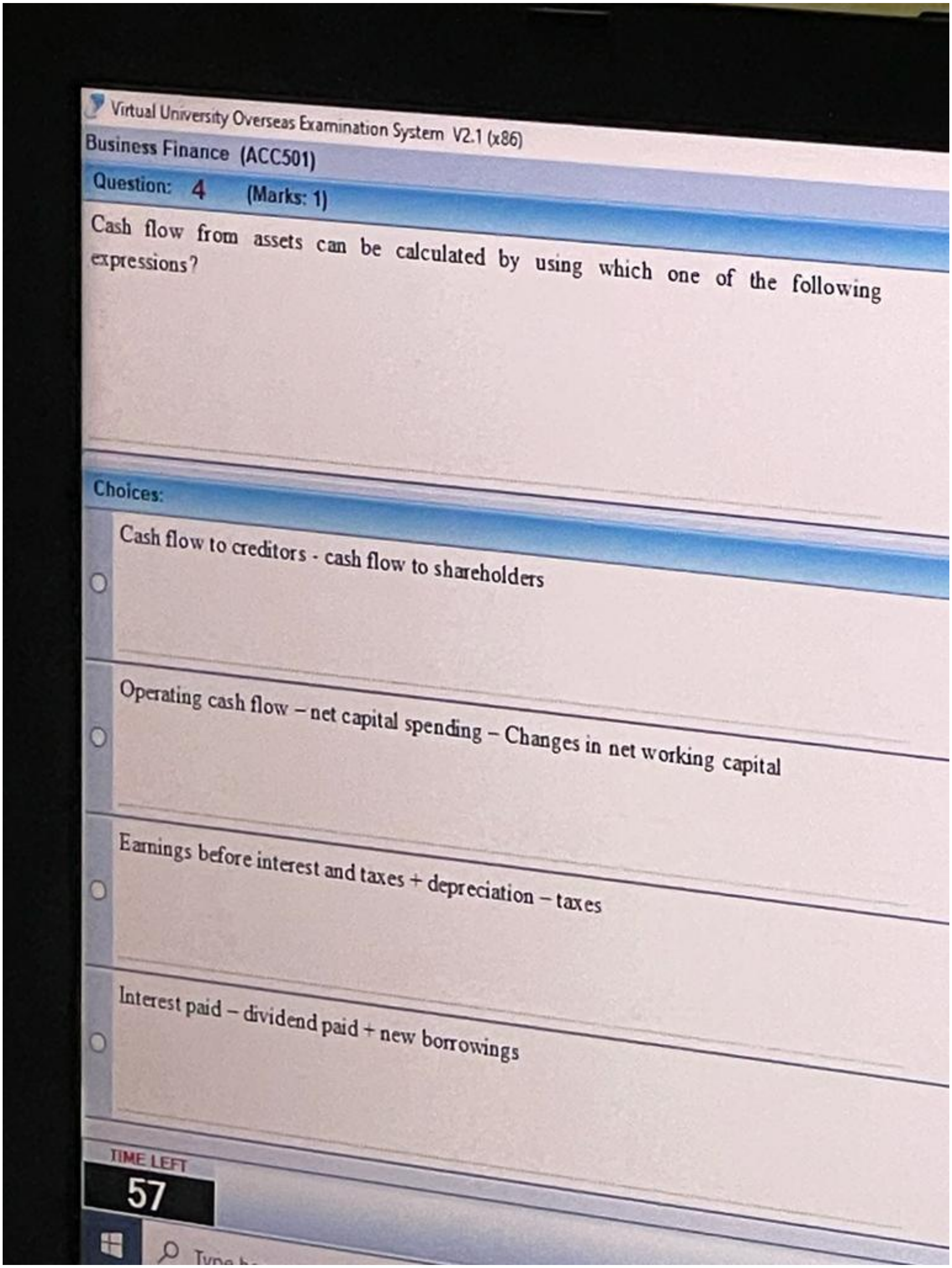

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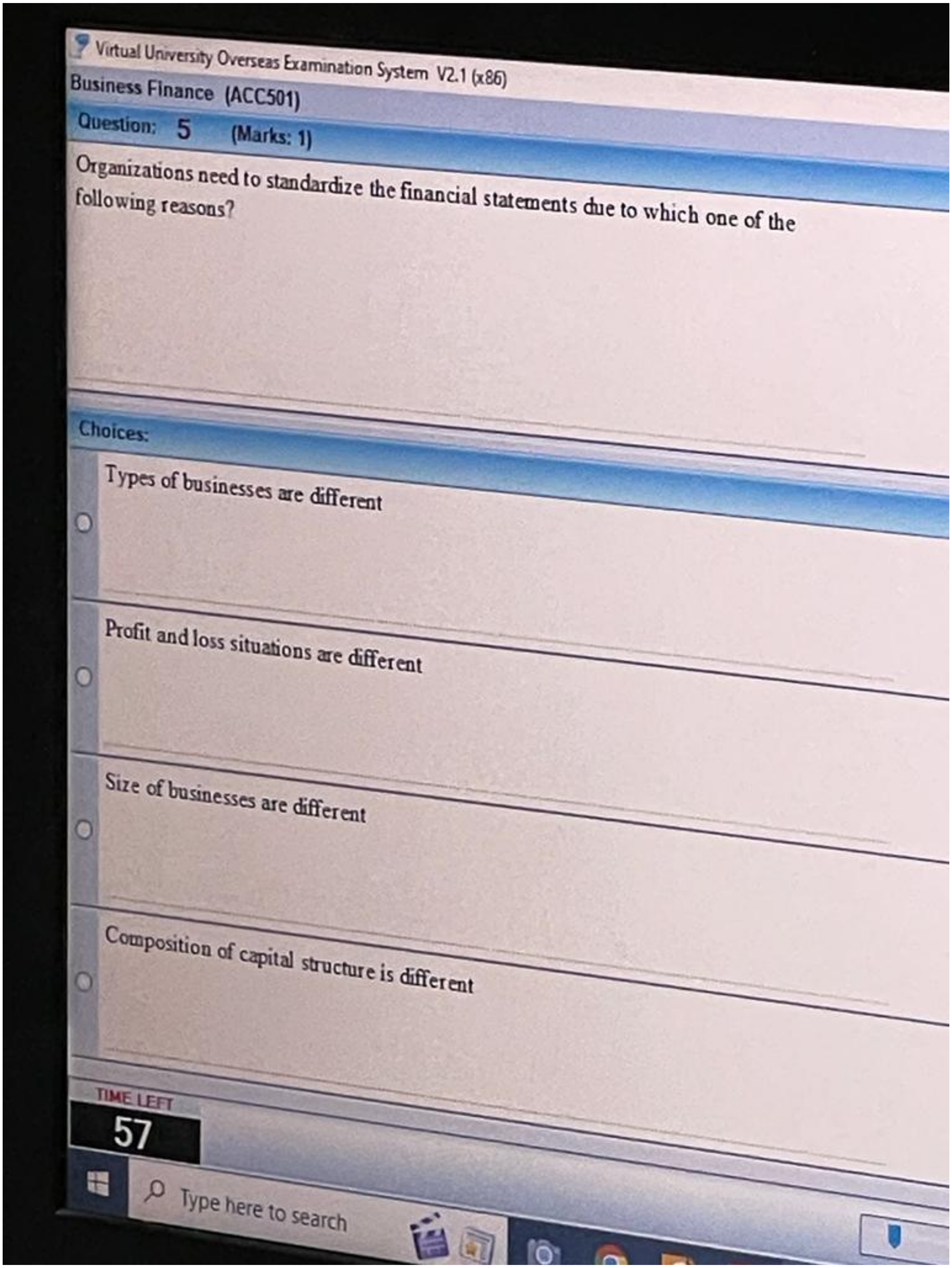

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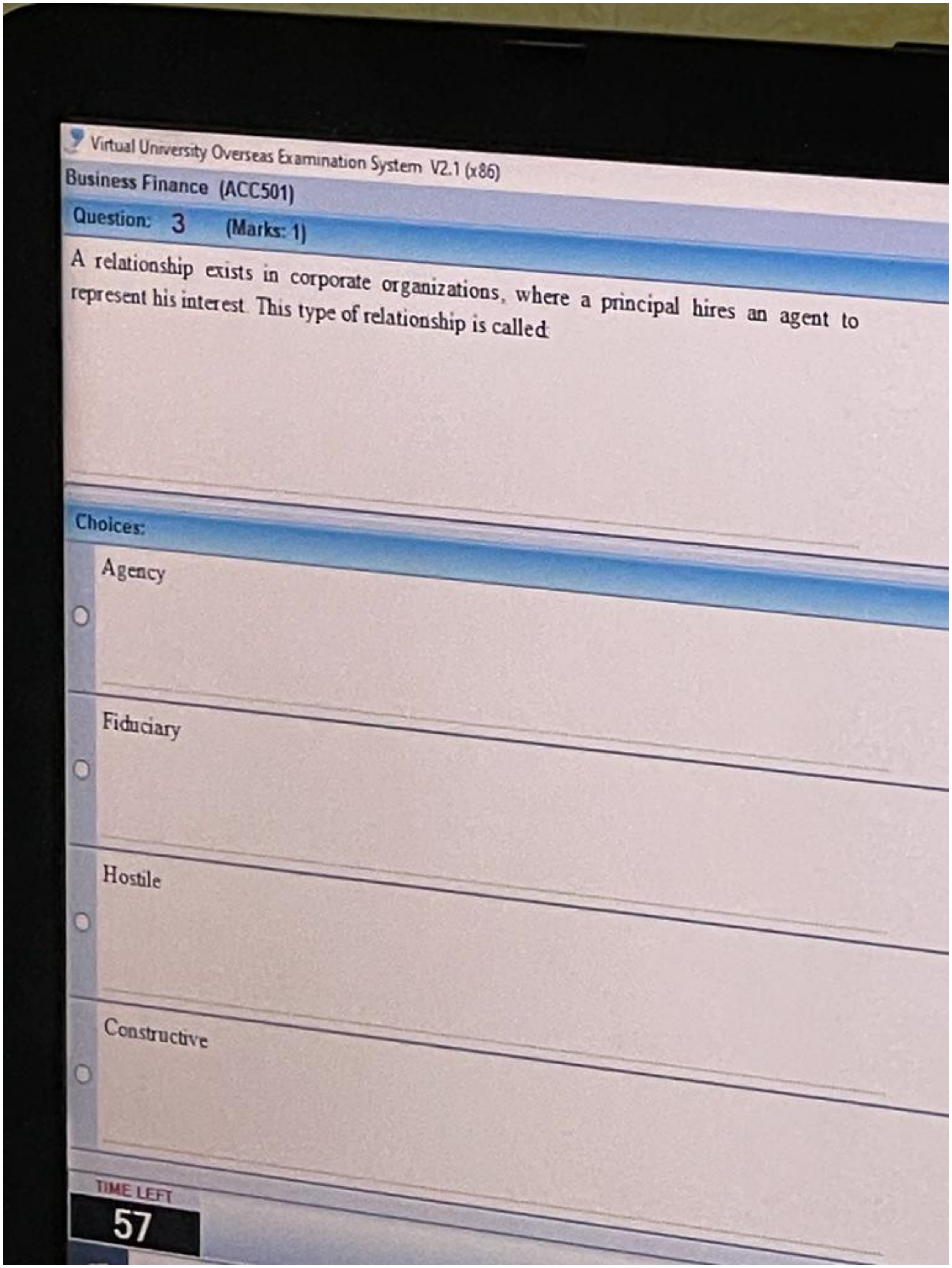

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 3 (Marks: 1)

A relationship exists in corporate organizations, where a principal hires an agent to represent his interest. This type of relationship is called:

Choices:

- Agency
- Fiduciary
- Hostile
- Constructive

TIME LEFT

57

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Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 27 (Marks: 1)

Mr. Ahmad takes an interest-free loan of Rs. 33,000 from his employer for 7 years and invests at 9% compound rate of interest. How much total amount he will earn from this investment?

Choices:

- Rs. 27,325
- Rs. 60,325
- Rs. 20,245
- Rs. 53,245

TIME LEFT

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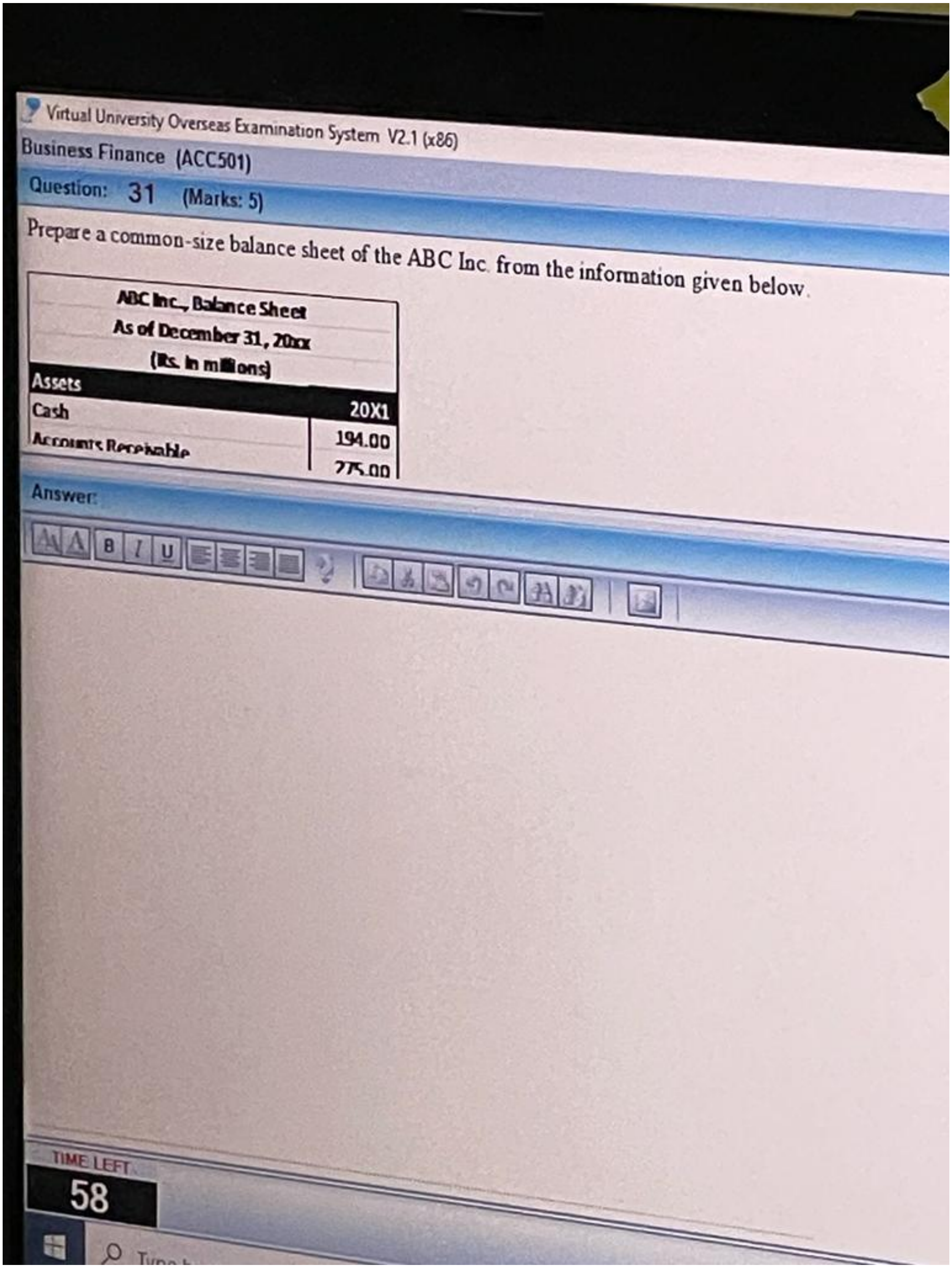
Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 31 (Marks: 5)

Prepare a common-size balance sheet of the ABC Inc. from the information given below.

ABC Inc., Balance Sheet As of December 31, 20xx (Rs. in millions)	
Assets	20X1
Cash	194.00
Accounts Receivable	275.00

Answer:

TIME LEFT

58

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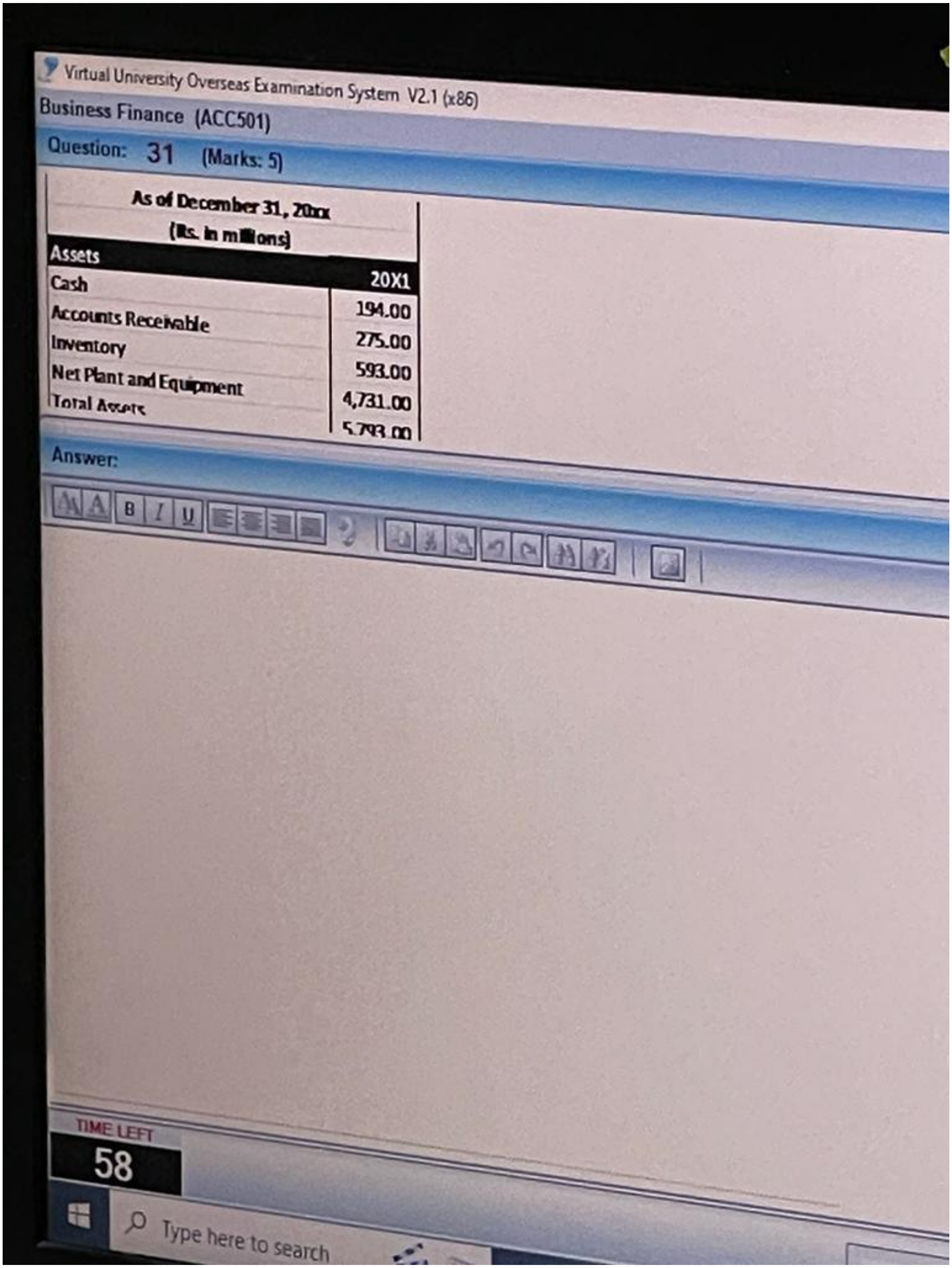

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 31 (Marks: 5)

As of December 31, 20xx
(Rs. in millions)

Assets	20X1
Cash	194.00
Accounts Receivable	275.00
Inventory	593.00
Net Plant and Equipment	4,731.00
Total Assets	5,793.00

Answer:

TIME LEFT

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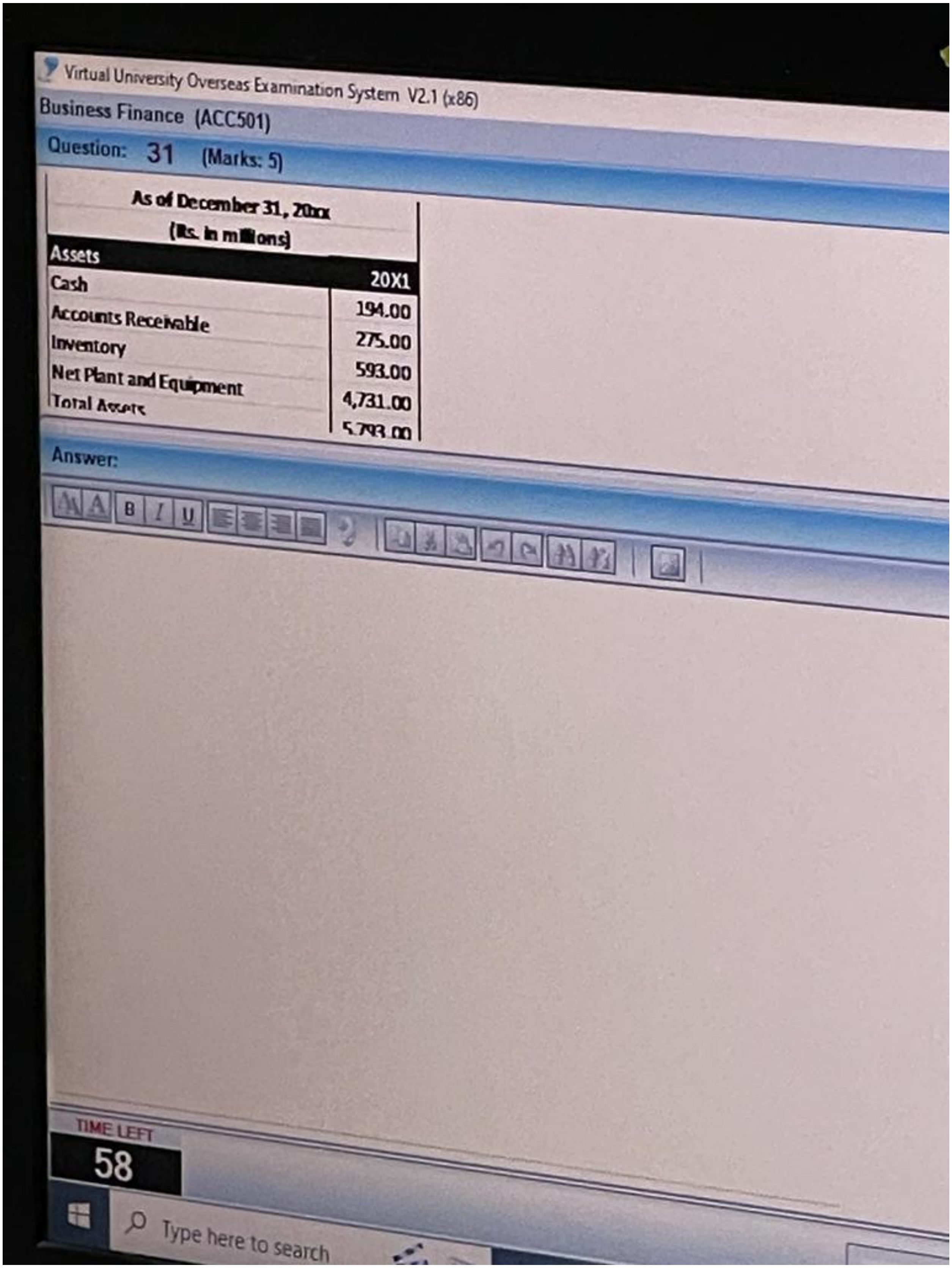

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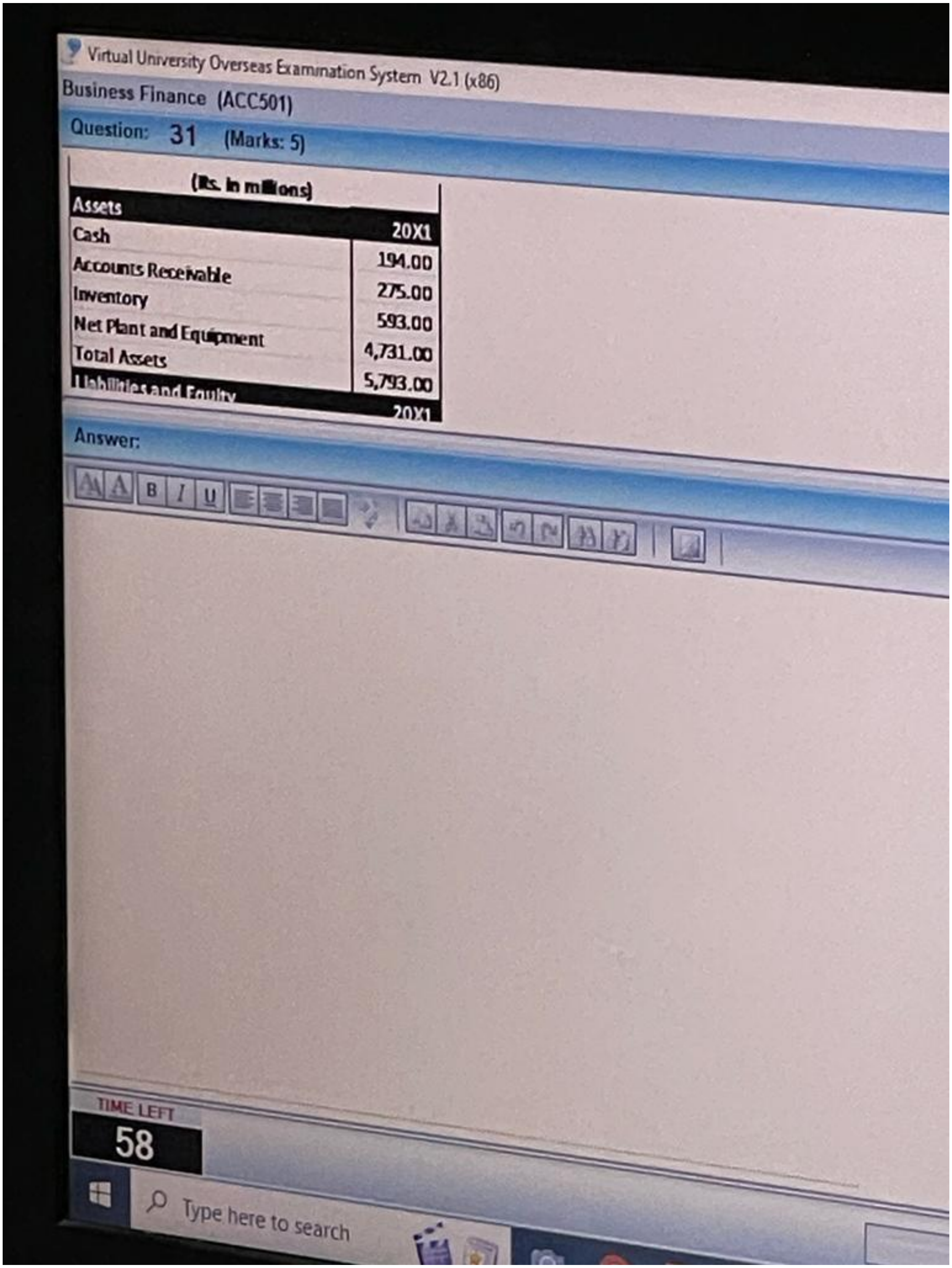

Virtual University Overseas Examination System V2.1 (x86)

Business Finance (ACC501)

Question: 31 (Marks: 5)

(Rs. in millions)

Assets	20X1
Cash	194.00
Accounts Receivable	275.00
Inventory	593.00
Net Plant and Equipment	4,731.00
Total Assets	5,793.00
Liabilities and Equity	20X1

Answer:

TIME LEFT

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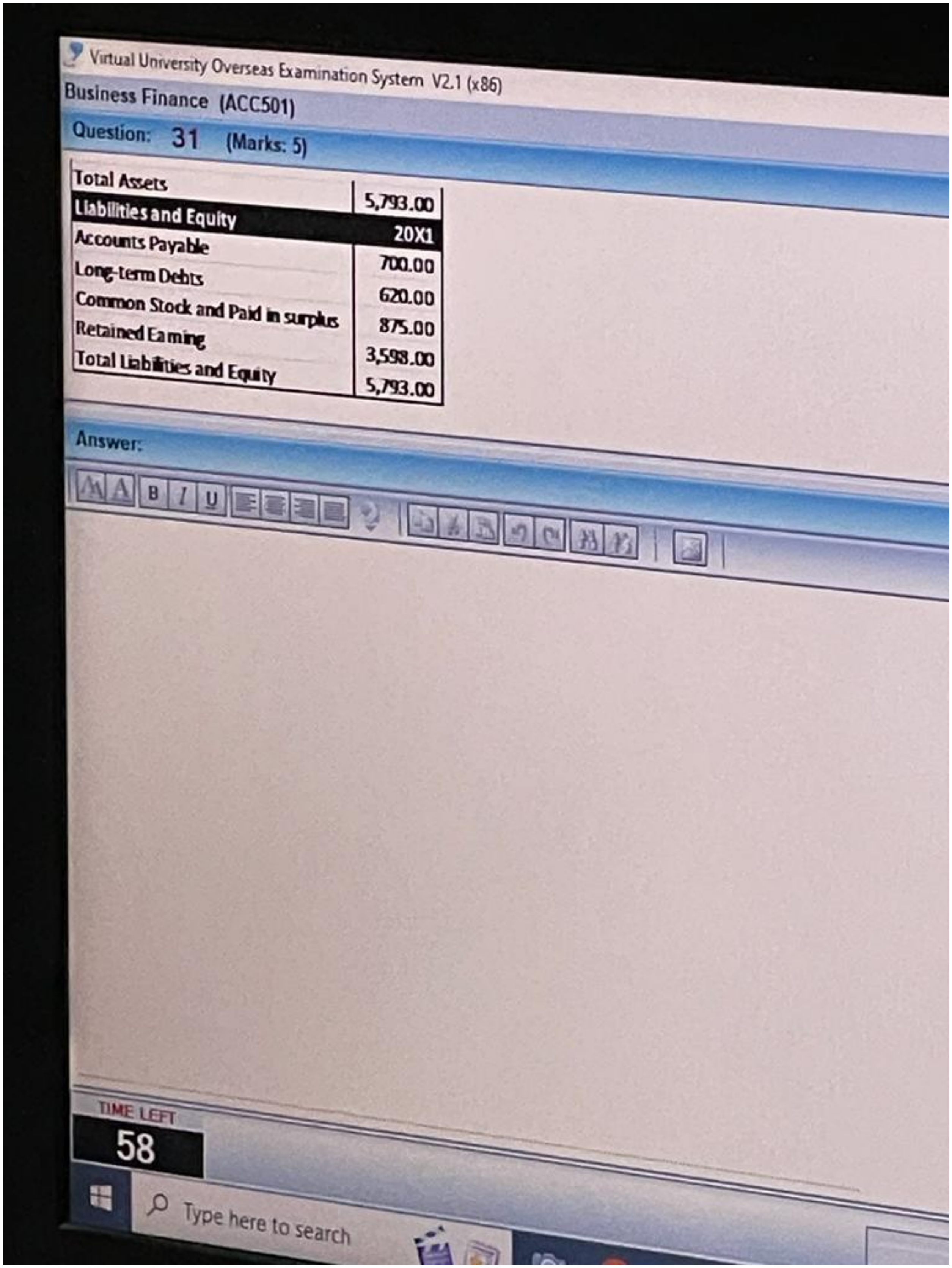

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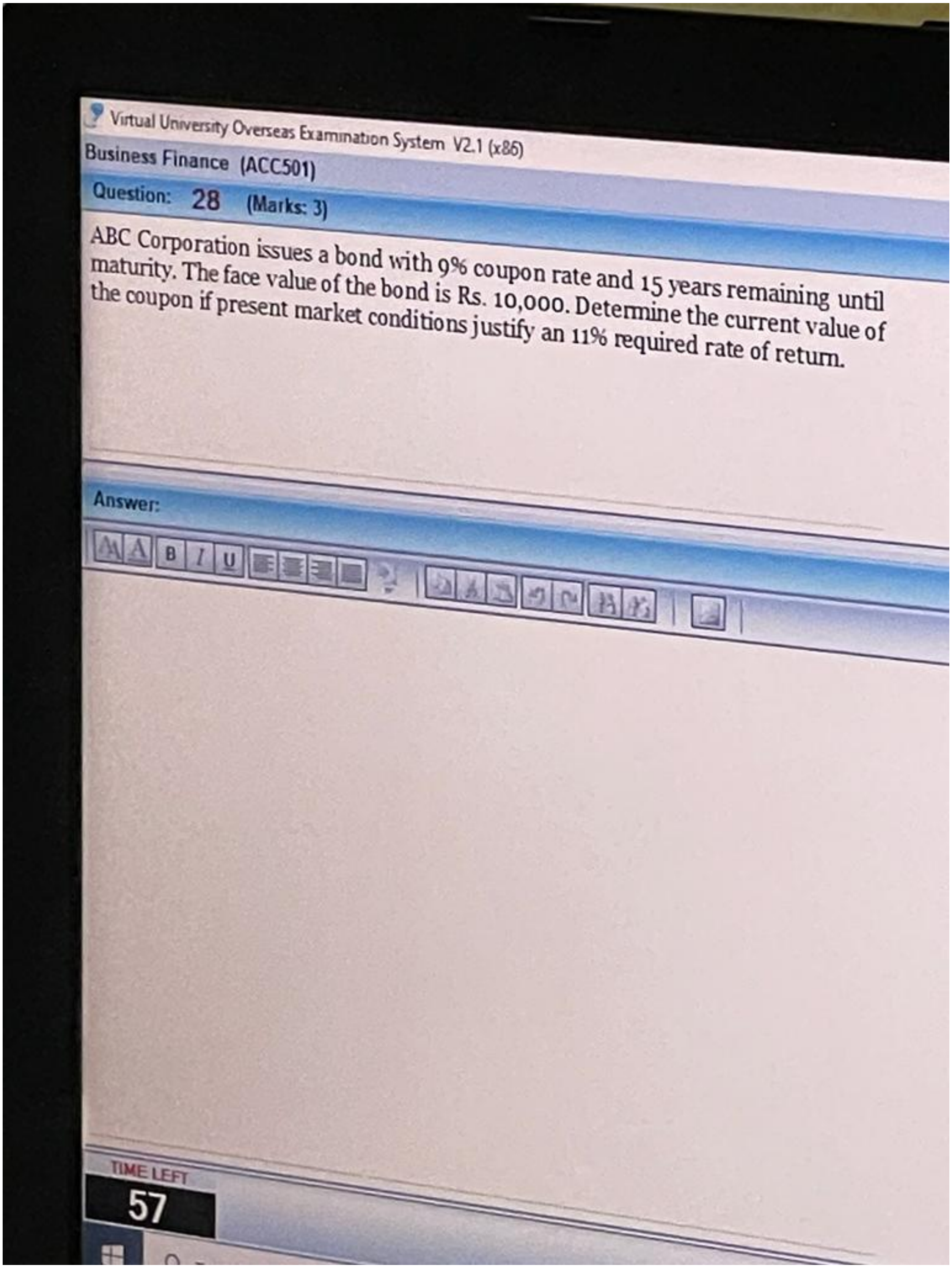

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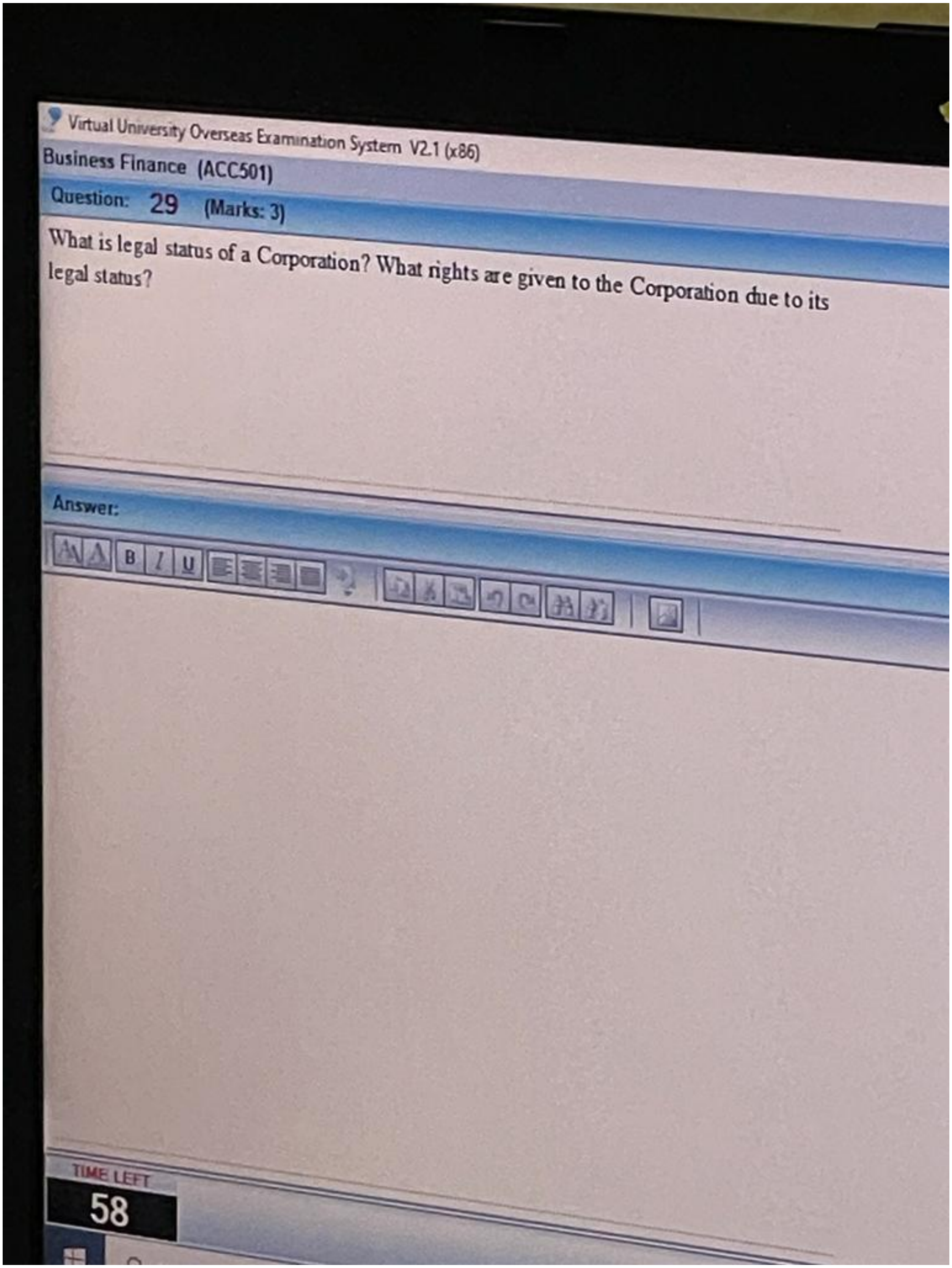

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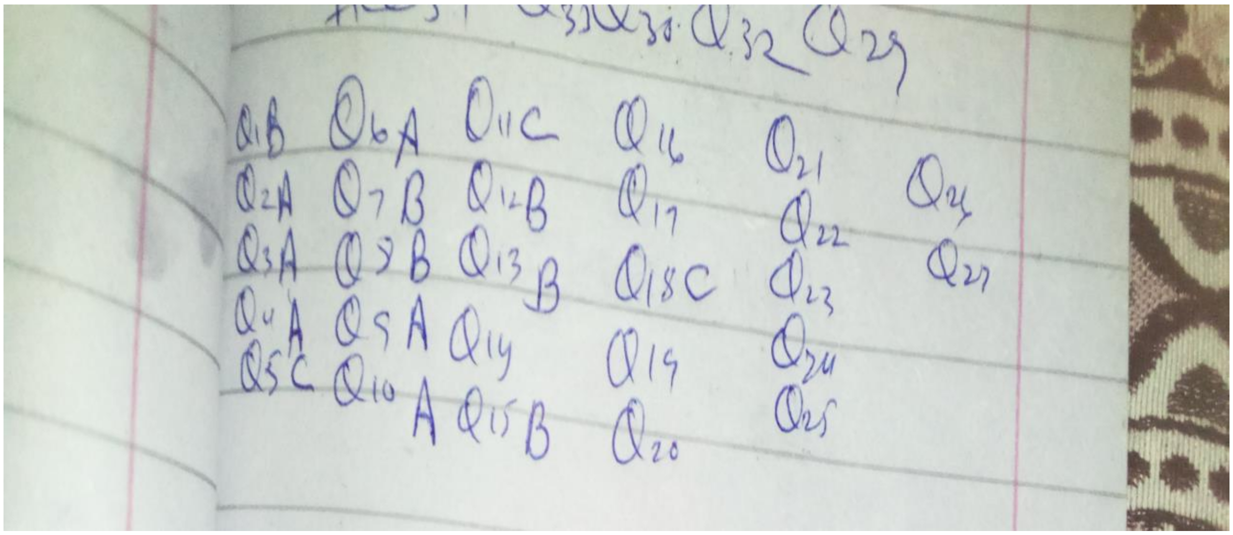
Mcqs correct answer



Subjective correct answer

Q33
Financial Institutions
• Businesses dealing in financial matters
o Banks and Insurance companies
International Finance
• Covers international aspects of corporate finance, investment and financial institutions.
Q30
Capital Intensity Ratio
It is simply the reciprocal of total assets turnover, or:
Capital Intensity Ratio = total assest/ sale
• It is interpreted as the dollar investment in assets needed to generate $1 in sales. Higher values represent capital intensive industries.
• For A2Z, this ratio is computed to be 1.56, i.e. A2z has to invest $1.56 in assets to get $1 in sales.
Q29
A corporation is a legal entity that is separate and distinct from its owners (shareholders). It is granted legal status through the process of incorporation, which involves filing the necessary documents with the appropriate government authority. The legal status of a corporation provides it with certain rights and responsibilities. Here are some key aspects of the legal status of a corporation:

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Separate Legal Entity: One of the primary features of a corporation is that it is treated as a separate legal entity from its owners. This means that the corporation can own property, enter into contracts, sue and be sued, and engage in legal activities on its own behalf.

Limited Liability: Shareholders of a corporation generally have limited liability, meaning that their personal assets are protected from the company's debts and liabilities. In the event of financial troubles or legal issues, the personal assets of shareholders are typically not at risk beyond their investment in the company.

Perpetual Existence: A corporation has perpetual existence, meaning that its existence is not tied to the life of its owners or shareholders. The death or withdrawal of a shareholder does not affect the ongoing existence of the corporation.

Transferability of Shares: Ownership in a corporation is represented by shares of stock, which can be bought and sold freely (subject to certain restrictions outlined in the company's bylaws). This allows for the transfer of ownership without affecting the corporation's operations.

Ability to Raise Capital: Corporations have the ability to raise capital by issuing stocks and bonds. This makes it easier for them to attract investors and raise funds for business expansion or other purposes.

Centralized Management: Corporations typically have a centralized management structure with a board of directors elected by shareholders. Shareholders exercise their control through voting, but day-to-day management is handled by officers and executives.

Taxation: Corporations are subject to corporate income tax. The taxation structure may vary depending on the jurisdiction, and some countries may offer favorable tax treatment to encourage corporate activities.

Regulatory Compliance: Corporations are required to comply with various legal and regulatory requirements, including filing annual reports, conducting shareholder meetings, and following corporate governance guidelines.

It's important to note that the specific legal status and rights of a corporation may vary based on the jurisdiction in which it is incorporated. Each country or state has its own set of laws and regulations governing corporations, and companies must adhere to these rules to maintain their legal status and benefits.Q28
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It's important to note that the specific legal status and rights of a corporation may vary based on the jurisdiction in which it is incorporated. Each country or state has its own set of laws and regulations governing corporations, and companies must adhere to these rules to maintain their legal status and benefits.
A corporation is a legal entity that is separate and distinct from its owners (shareholders). It is granted legal status through the process of incorporation, which involves filing the necessary documents with the appropriate government authority. The legal status of a corporation provides it with certain rights and responsibilities. Here are some key aspects of the legal status of a corporation:

Separate Legal Entity: One of the primary features of a corporation is that it is treated as a separate legal entity from its owners. This means that the corporation can own property, enter into contracts, sue and be sued, and engage in legal activities on its own behalf.

Limited Liability: Shareholders of a corporation generally have limited liability, meaning that their personal assets are protected from the company's debts and liabilities. In the event of financial troubles or legal issues, the personal assets of shareholders are typically not at risk beyond their investment in the company.

Perpetual Existence: A corporation has perpetual existence, meaning that its existence is not tied to the life of its owners or shareholders. The death or withdrawal of a shareholder does not affect the ongoing existence of the corporation.

Transferability of Shares: Ownership in a corporation is represented by shares of stock, which can be bought and sold freely (subject to certain restrictions outlined in the company's bylaws). This allows for the transfer of ownership without affecting the corporation's operations.

Ability to Raise Capital: Corporations have the ability to raise capital by issuing stocks and bonds. This makes it easier for them to attract investors and raise funds for business expansion or other purposes.

Centralized Management: Corporations typically have a centralized management structure with a board of directors elected by shareholders. Shareholders exercise their control through voting, but day-to-day management is handled by officers and executives.

Taxation: Corporations are subject to corporate income tax. The taxation structure may vary depending on the jurisdiction, and some countries may offer favorable tax treatment to encourage corporate activities.

Regulatory Compliance: Corporations are required to comply with various legal and regulatory requirements, including filing annual reports, conducting shareholder meetings, and following corporate governance guidelines.

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bonds. The formula is:

$$\text{Bond Value} = \frac{\text{Coupon Payment}}{\text{Required Return}} \times \left(1 - \frac{1}{(1+\text{Required Return})^{\text{Number of Years}}}\right) \times \frac{1}{\text{Required Return}} + \frac{\text{Face Value}}{(1+\text{Required Return})^{\text{Number of Years}}}$$

For the given information:

$\text{Coupon Payment} = Rs.80$

$\text{Required Return} = 0.10$ (10% as a decimal)

$\text{Number of Years} = 15$

$\text{Face Value} = Rs.1000$

Plug these values into the formula to calculate the bond value.